Block practice · Externalities, the public sector and privatisation

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Mixed economy and the public and private sectors

Market failure, public goods and free riders

External costs and external benefits

Social costs and social benefits formulas

Privatisation: effects on stakeholders and the economy

Taxes, subsidies and parks to protect the environment

Regulation, fines and pollution permits

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Practice workbook · Mixed economy and the public and private sectors

Meaning of mixed economy and of the public and private sectors, how they differ in ownership, control and aims, and the benefits and costs of public sector provision.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-16

1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

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Figure 2 shows the supply of rice in a region during 2021.

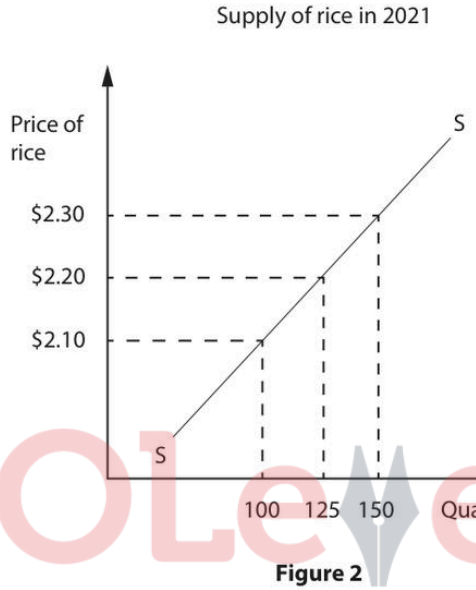

Figure 2

The equilibrium price of rice is $2.20 per kg.

(g) Explain **one** effect on the supply of rice following a change in its equilibrium price.

(3)

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

Some governments have made the creation of outdoor areas or parks a priority in order to help reduce health issues, such as obesity. Studies have shown that having access to such areas encourages physical exercise that can also benefit mental wellbeing.

However, funding for such projects is not always available or the parks become too crowded. This means fewer people can benefit from these outdoor areas.

(h) With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks.

(9)

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

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(Total for Question 2 = 20 marks)

1. Question 2 · part h · 9 marks · Working and answer

Working and answer

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2. Question 2 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

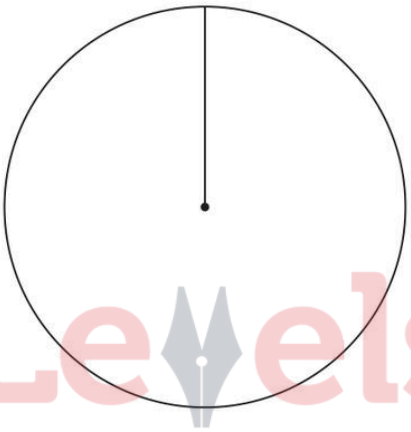

Figure 2

(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

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Turn over ▶

2. Question 2 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
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- ☒ **C** Maximise profits
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(1)

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- ☒ **C** Driving lessons
- ☒ **D** Petrol

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

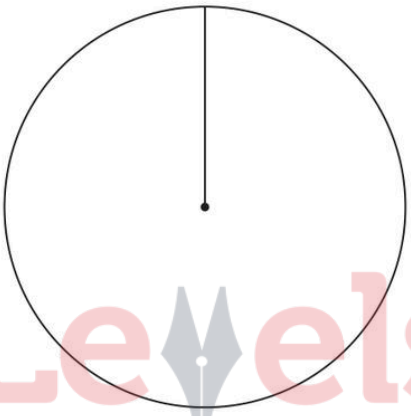

Figure 2

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(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Who should have the flu injection?

Flu is an unpredictable virus that can cause mild or unpleasant illness in most people. It can cause severe illness and even death among vulnerable groups, including older people, pregnant women and people with other health problems. These groups may, therefore, receive a free vaccination in the UK, to ensure they are protected against the virus. Although most people receive their vaccination from a public sector doctor, the UK Government has to pay private sector pharmacies to also provide this service. The cost to the UK Government of funding these vaccinations is over £100m per year.

(Source: adapted from https://www.nhs.uk/conditions/vaccinations/who-should-have-flu-vaccine/)

(f) Explain **one** possible reason why the UK Government pays private sector pharmacies to provide the flu vaccination.

(3)

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) With reference to the data in **'Who should have the flu injection?'** and your knowledge of economics, assess whether the cost to the UK Government of funding the flu vaccination can be justified.

(9)

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3. Question 2 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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4. Question 1 · part c · 2 marks · Working and answer

Working and answer

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5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

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(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

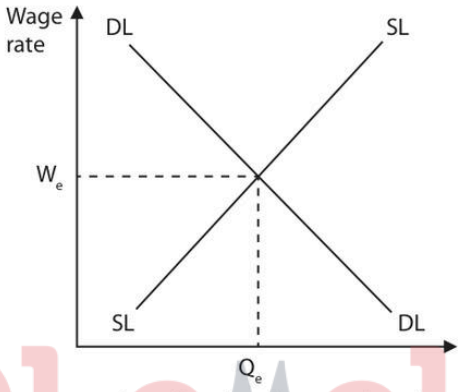

Figure 5

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5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

An investigation has taken place in the US to determine whether a number of pharmaceutical firms used collusion to divide sales between themselves so each firm received higher profits. One example of the price fixing meant a tablet sold for $4.70 when the price should have been $0.13. The firms have rejected the accusations, saying there is a lack of evidence to prove anti-competitive behaviour.

(Source adapted from: https://www.washingtonpost.com/business/economy/investigation-of-generic-cartel-expands-to-300-drugs/2018/12/09/fb900e80-f708-11e8-863c-9e2f864d47e7_story.html?noredirect=on&utm_term=.3c2a12983985)

(d) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms.

(6)

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5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

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5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

More than half of Cambodia's 6,000 km of roads have been classified as 'of poor quality' by the Ministry of Public Works and Transport. As business grows in the country, drivers overload their trucks, which leads to safety issues and greater damage to the roads. A higher level of investment is needed from the government to repair damage and to build new roads which would need less maintenance.

(Source adapted from: http://www.phnompenhpost.com/business/cambodia-facing-dilemma-plan-give-roads-facelift)

(e) With reference to the data above and your knowledge of economics, assess the extent to which high levels of public sector investment to improve the roads may benefit the Cambodian economy.

(9)

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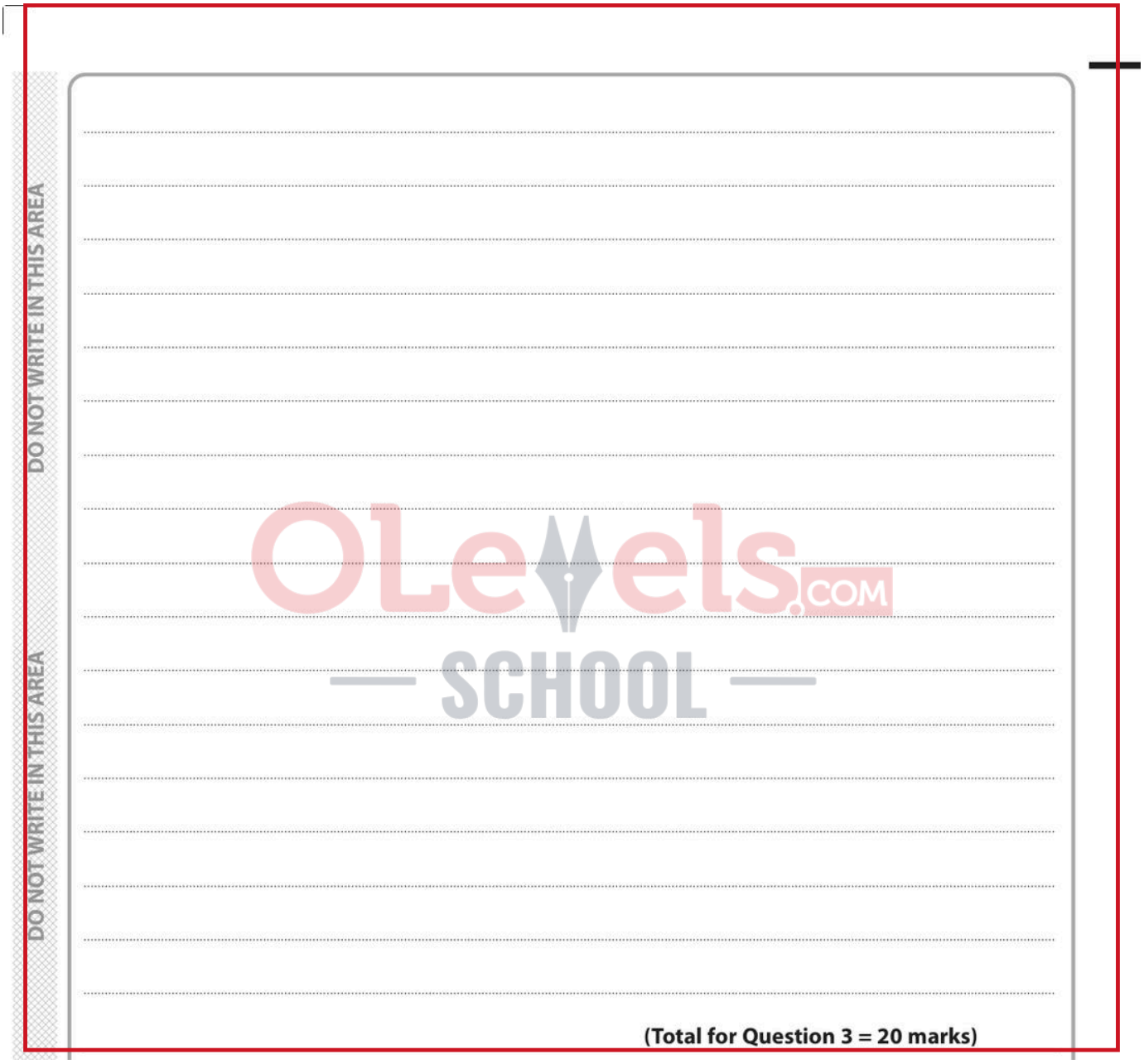
5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.



5. Question 3 · part e · 9 marks · Working and answer

Working and answer

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

2

Market share by firm for a market in Azerbaijan

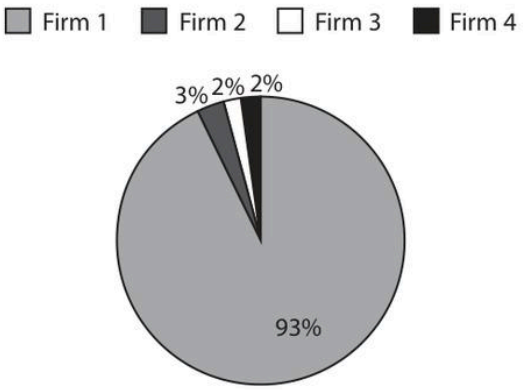

Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3? **(1)**

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit? **(1)**

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

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Some countries, such as Cuba, rely mostly on public sector ownership to provide goods and services. Others, such as Japan rely more on private sector ownership. In Japan, health, education and street lighting are often provided by public sector ownership but Japan also produces a high quantity of electronic goods used for entertainment.

(h) With reference to the data above and your knowledge of economics, assess how effective public sector ownership and private sector ownership are likely to be in solving the economic problem.

(9)

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

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6. Question 2 · part h · 9 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 A concert venue in Malaysia holds a maximum of 3,200 people for each performance. The quantity of tickets demanded for the most recent concerts is shown in Figure 5.

Concert	Quantity of tickets demanded
A	4,200
B	6,000
C	3,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three concerts totals 9,600. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

The Cuban Government owns and runs most industries in the country and more than 75% of the labour force is employed by the state.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of having a large public sector to a country such as Cuba.

(6)

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Instagram, WhatsApp and Facebook Messenger are social network messaging services, taken over and owned by Facebook. Between them, they have more than 2.6 billion users. Although they currently operate as stand-alone apps, Facebook's chief executive, Mark Zuckerberg, has now taken greater control of all three. He has plans to combine the services, allowing messages to be sent between the different apps.

Both Instagram and WhatsApp have grown considerably since the takeover but their original founders have left due to the increased control from Facebook. Some employees are unhappy and do not understand the planned changes to the services. However, Zuckerberg thinks there will be long-term benefits including reduced costs. He says that less software will be needed once the system is in place and consumers will be less likely to use competitors' apps.

(Source adapted from: https://www.nytimes.com/2019/01/25/technology/facebook-instagram-whatsapp-messenger.html)

(c) With reference to the data above and your knowledge of economics, evaluate whether Zuckerberg's decision to combine all three services is likely to lead to economies of scale.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 1 · part e · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part e only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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8. Question 1 · part e · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part e only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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8. Question 1 · part e · 1 mark · Working and answer

Working and answer

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9. Question 1 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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9. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 1 · part c · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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P 7 2 9 6 7 A 0 2 2 4

10. Question 1 · part c · 2 marks · Working and answer

Working and answer

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

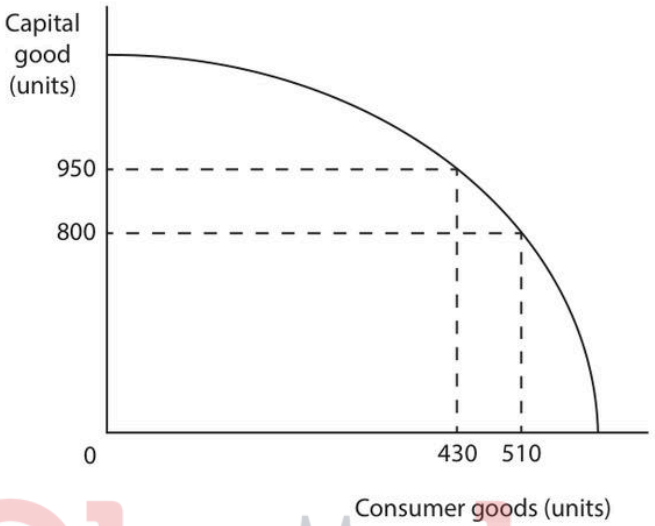

Figure 6

(a) When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working.

(2)

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

Bulgaria has an extensive rail network. Many towns and cities are also accessible by bus. Both these methods of public transport are low priced. However, train travel is considered poor by European standards, with frequent train cancellations and a poor record of safety. Buses are often late and take a lot longer to reach their destination than if travelling by private car.

(b) With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria.

(6)

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

In January 2025, the Western Australian Government announced plans to invest AU$107m to expand the Swan River ferry network. The river is 72 km long and a major waterway, connecting many areas in its capital city, Perth.

The plan would have five new electric ferries built by local firms. Each ferry has the ability to transport more than 130 passengers per trip. In addition, there would be two new stops along the river, one close to a bus depot and one to enable easier access to the University of Western Australia.

Local sailing clubs were concerned about safety from the addition of ferry services into areas used by smaller boats. Meanwhile, politicians opposed to the addition said that creating extra parking for ferry customers may cause problems.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which public sector investment may benefit the economy of Western Australia.

(12)

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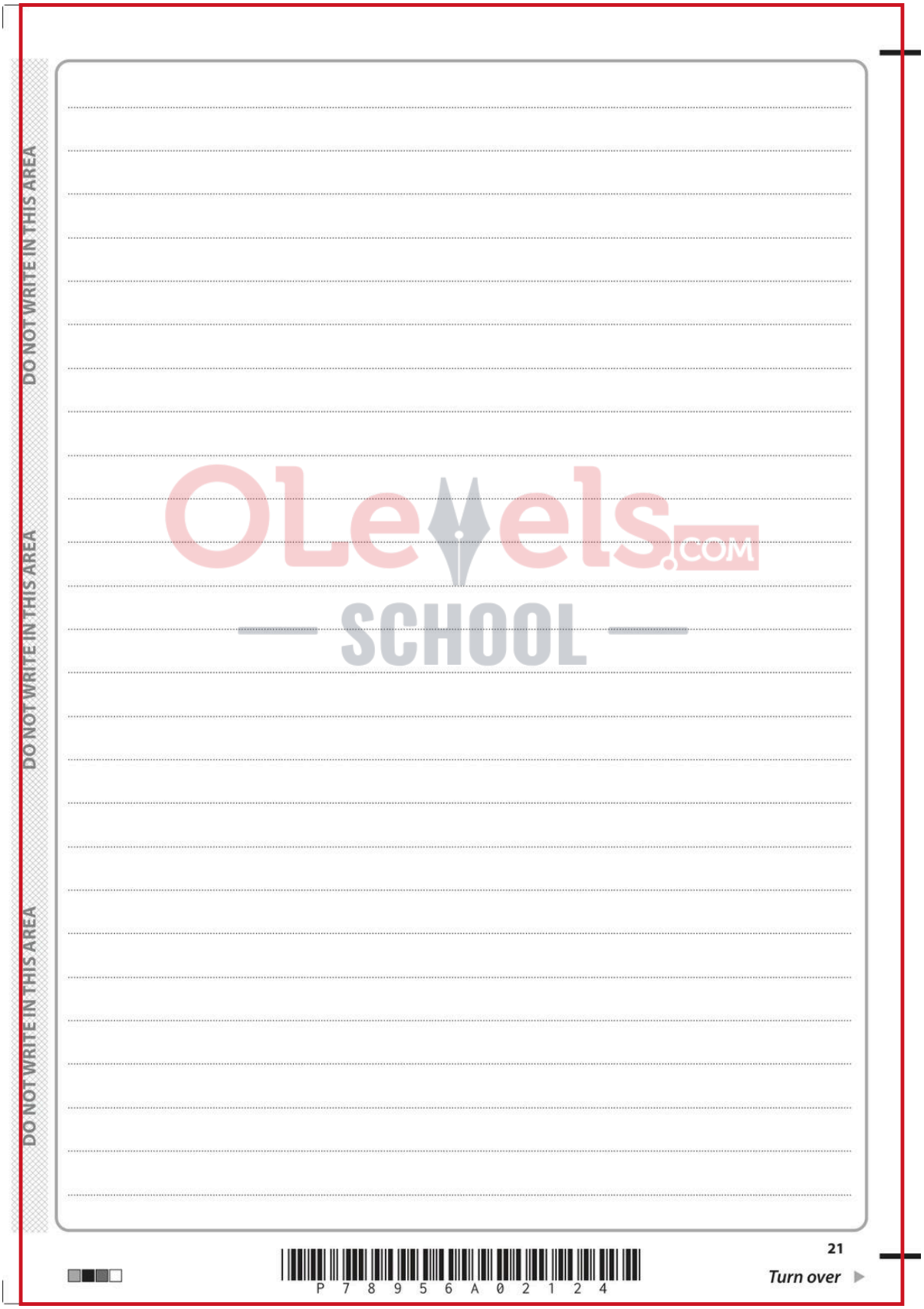
11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

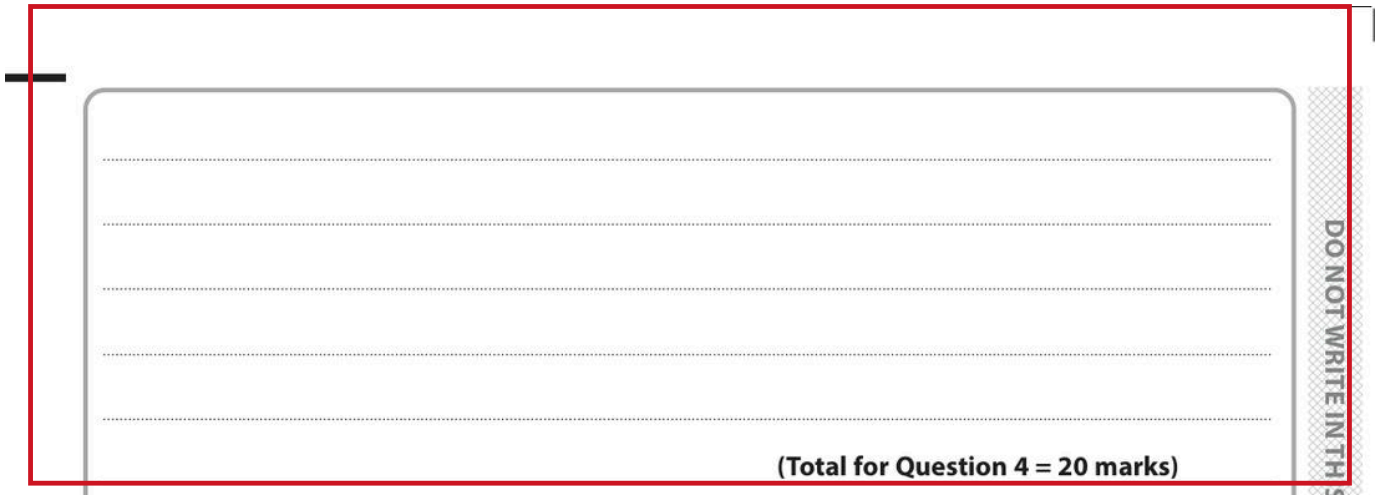
Further practice · Attempt part c only.



11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.



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11. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Market failure, public goods and free riders

Market failure as an inefficient allocation of resources, its causes (poor information, lack of competition, public goods), non-excludability and non-rivalry, the free rider problem, and why government intervenes or provides.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-18

1. Question 4 · part b · 6 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part b only.

4 A restaurant in Cyprus can seat 136 diners each evening. The demand for seats from diners over three evenings is shown in Figure 5.

Evening	Quantity of seats demanded
Thursday	98
Friday	114
Saturday	107

Figure 5

(a) Calculate the **excess supply** of seats if the quantity supplied during these three evenings totalled 408. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part b only.

Street lighting is provided by governments in many countries. It is provided to improve safety for pedestrians and increase visibility for motorists. It also provides a more inviting environment after dark.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem means street lighting is provided by the government.

(6)

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1. Question 4 · part b · 6 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part b only.

The English city of Kingston upon Hull has an independent telecoms network known as Kingston Communications (KCOM). It is the only provider serving the city and its surrounding towns and villages. People living there do not have many broadband options. The network remained independent when most others joined together to become British Telecom (BT) and it has remained as a separate company to this day.

As well as broadband, KCOM also offers home phone and mobile deals which are available at a discounted price when purchased together. It will soon offer high-quality television packages. Its broadband is fast, with fibre optic packages which can reach impressive speeds of up to 250 Mb. However, these are not available everywhere in the region and KCOM's packages are more expensive than those in the rest of the country. This is especially true as they have low download limits.

(Source adapted from: https://www.broadbandchoices.co.uk/guides/broadband/hull-broadband)

(c) With reference to the data above and your knowledge of economics, evaluate whether a monopoly such as KCOM is always bad for the consumer.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 2 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

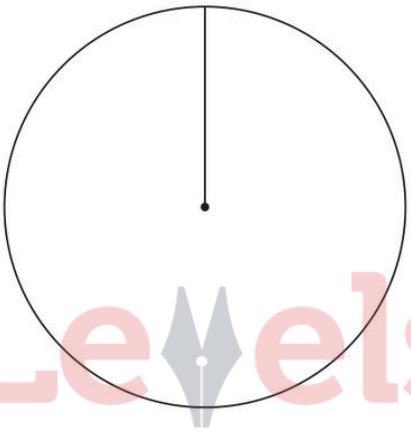

Figure 2

(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

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2. Question 2 · part d · 1 mark · Working and answer

Working and answer

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3. Question 2 · part g · 3 marks

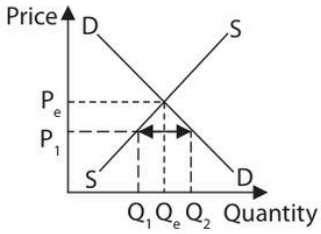
2020 JAN · Paper 01

Further practice · Attempt part g only.

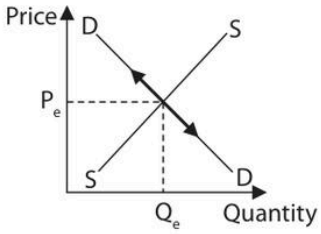
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

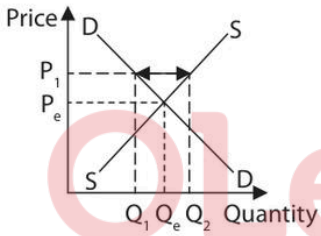
☒ **A**



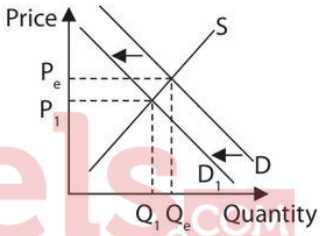
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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Turn over ▶

3. Question 2 · part g · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part g only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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3. Question 2 · part g · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part g only.

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The Irish Artisan Charcoal Company (IACC) is the only firm producing charcoal in Ireland. Damaged trees which would otherwise have been left to rot are used to produce top quality charcoal.

(Source adapted from: https://www.limerickleader.ie/video/home/348948/watch-irish-artisan-charcoal-company-in-limerick-blazing-a-trail-with-unique-product.html)

(f) Describe the type of market structure in which the Irish Artisan Charcoal Company operates.

(2)

Street lighting is considered to be a public good.

(g) Explain **one** reason why this may cause a free rider problem.

(3)

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3. Question 2 · part g · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part g only.

Wonderful Wax is a small, UK-based firm that produces candles. The candles are environmentally friendly because they are handmade with soy wax and pure essential oils. This is instead of harmful paraffin wax which produces toxins when burned. Elissa Newham set up the business because she wanted to help the environment. She was surprised when a larger firm made contact, offering its facilities to increase production if Elissa was prepared to share the profits.

(h) With reference to the data above and your knowledge of economics, assess whether Wonderful Wax would have more benefits from remaining a small firm rather than becoming a large firm.

(9)

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3. Question 2 · part g · 3 marks · Working and answer

Working and answer

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4. Question 2 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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4. Question 2 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

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4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 3 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following is likely to lead to an inefficient allocation of resources?

(1)

- ☒ **A** Migration
- ☒ **B** Competition
- ☒ **C** Lack of information
- ☒ **D** Division of labour

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** Sheep farmer
- ☒ **B** Factory worker
- ☒ **C** Coal miner
- ☒ **D** Sales assistant

(c) Using the diagram below, draw the effects of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

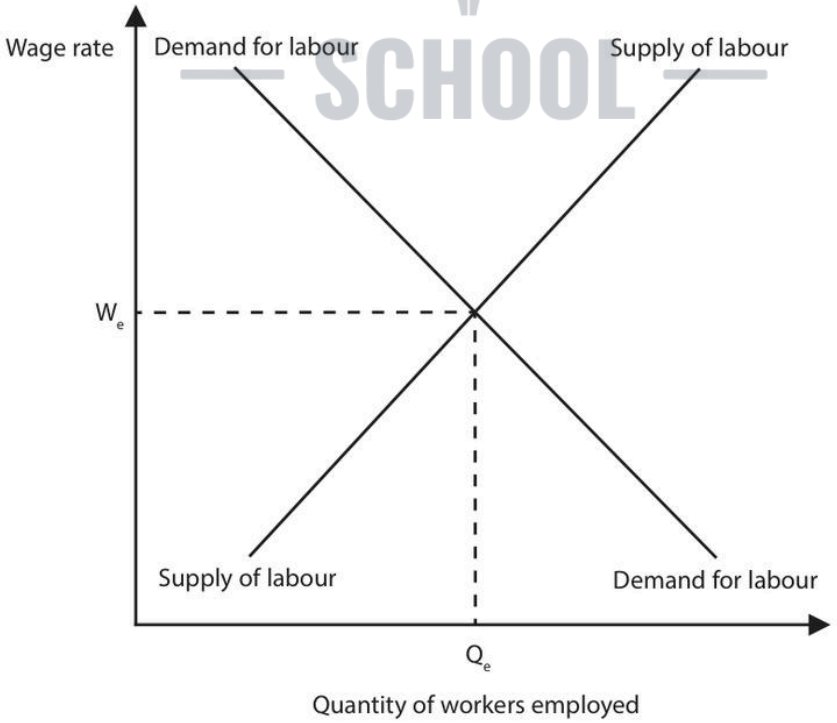

Figure 3

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5. Question 3 · part a · 1 mark · Working and answer

Working and answer

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6. Question 3 · part d · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

Figure 3

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6. Question 3 · part d · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

Every year in the UK, heavy rainfall is a cause of severe flooding in some areas. Calderdale in Yorkshire has been badly affected for a number of years. Increased water levels from the River Calder caused damage to residential properties, business premises and roads. The UK Government provided a £32m flood defence scheme to try to reduce the problem.

(Source adapted from: https://www.halifaxcourier.co.uk/news/politics/ps44m-to-be-spent-on-flood-defences-in-hebden-bridge-3327606)

(d) With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences.

(6)

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6. Question 3 · part d · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

6. Question 3 · part d · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

In 2021, Morrisons, a leading UK-based supermarket chain, became the first in the retail industry to pay workers at least £10 per hour. This increased its hourly wage rate from £9.20 to at least £10 per hour for its 110,000 workers. This increase was a result of negotiations with the trade union, Usdaw. The majority of Morrisons' workers are trade union members.

(Source adapted from: https://www.hrmagazine.co.uk/content/news/morrisons-is-the-first-uk-supermarket-to-pay-minimum-10-an-hour)

(e) With reference to the data above and your knowledge of economics, assess the impact of trade union activity on Morrisons and its employees.

(9)

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6. Question 3 · part d · 6 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

4 A sports arena in Guatemala holds a maximum of 20,000 people for each event. The quantity of tickets demanded for the most recent events is shown below.

Event	Quantity of tickets demanded
A	22,200
B	21,000
C	20,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

Zambia has a defence force that includes both an army and an air force. The Zambian Government is responsible for the provision of this defence force.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force.

(6)

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

7. Question 4 · part b · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

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Polluted air is said to cause over 1,000 deaths each year in Greater Manchester, UK. To reduce the problem, an 800 km^2 'Clean Air Zone' (CAZ) has been proposed, where drivers of certain vehicles would have to pay between £7.50 and £60.00 each day they drive on roads in the region.

All lorries, buses, taxis and vans that do not meet the emission standards will be affected. It is hoped the tax will encourage vehicle owners to drive vehicles that are more environmentally friendly.

However, small business owners in particular will be affected by the proposals. An ice-cream business, established over 100 years ago, stated costs would increase by £29 000 a year for its vans to use roads in the region. It cannot afford to replace them and like many other firms risks going out of business.

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of government regulations in dealing with externalities such as air pollution in Greater Manchester.

(12)

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P 7 4 0 5 6 R A 0 2 1 2 4

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Turn over ▶

7. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part i · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

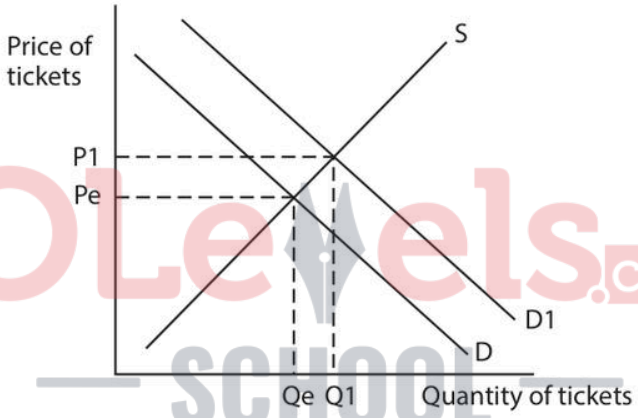

Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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8. Question 1 · part i · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part i only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

8. Question 1 · part i · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part i only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

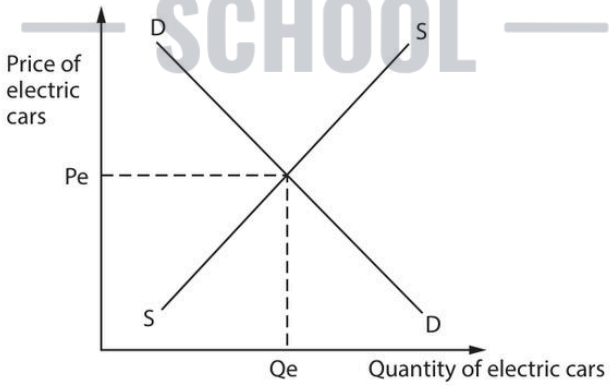

Figure 2

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8. Question 1 · part i · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part i only.

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The Brazilian Government announced plans to privatise one of its state-owned food companies.

(h) Explain **one** possible advantage of privatisation for consumers in Brazil.

(3)

OLevels.COM SCHOOL

8. Question 1 · part i · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part i only.

The Tallinn Song Festival Grounds (TSFG) is a popular live music venue in Estonia and can hold 65,000 people. Although it is very popular there are only a few firms selling food and drink at the TSFG venue.

The lack of competition at the TSFG venue means that service is slow and queues are long. Food and drink prices are expensive and security checks mean that no food and drink can be brought in from outside the TSFG venue.

(i) With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue.

(6)

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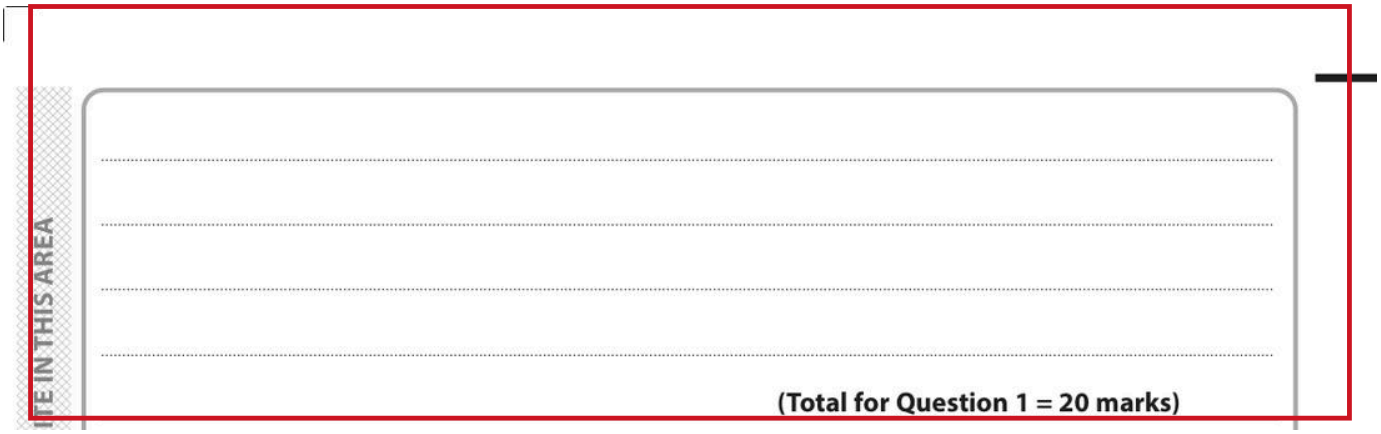
8. Question 1 · part i · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part i only.



Working and answer

OLevels.com SCHOOL

9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

4 A factory has been unable to meet the demand for its product due to a shortage of raw materials. The quantity demanded for the product during each of the first three months of 2024 is shown in Figure 5.

Month	Quantity of products demanded
January	13,600
February	14,200
March	11,700

Figure 5

(a) Calculate the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.

(2)

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9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

Hiking is a popular activity for visitors to the Caribbean island of Saint Vincent. Tourists can hire a guide to accompany them on the popular route of La Soufrière Volcano by booking online before arriving on the island and the price is $34. However, the price is only $20 if the guide is booked directly on arrival. Some tourists have complained because they did not know this was possible.

(b) With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources.

(6)

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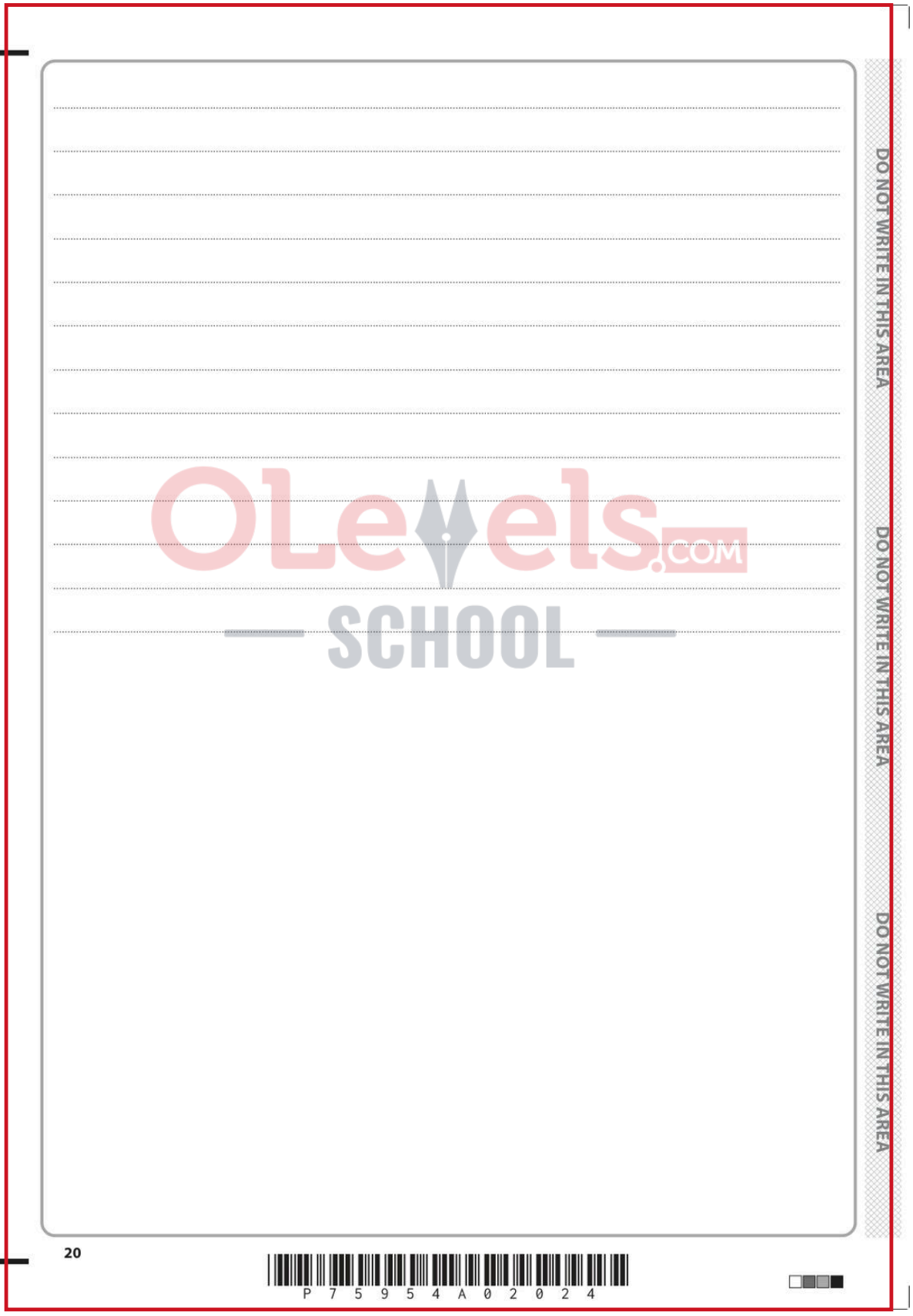
9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.



9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

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Twitter, one of the most popular social media platforms, was bought for $44bn by entrepreneur Elon Musk in 2022.

The aims of Elon Musk include the creation of an 'everything app' – a platform that includes messaging, payments, ridesharing, food delivery and more. To support this, Elon Musk introduced major changes to Twitter, including renaming it 'X'.

The number of X users increased to a new high of 530 million by 2023, following an increase in publicity about the change of name. This meant X did not need to pay high advertising costs to promote the platform.

Advanced technology will be introduced by X to enable users to operate multiple functions on the new platform. This research and development is likely to lead to a significant cost for the firm.

The platform has experienced a decrease of 65% in advertising revenue. Thousands of workers have already lost their jobs, including those in managerial roles.

(c) With reference to the data above and your knowledge of economics, evaluate whether X is likely to benefit from economies of scale.

(12)

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P 7 5 9 5 4 A 0 2 1 2 4

21

Turn over

9. Question 4 · part b · 6 marks · Working and answer

Working and answer

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10. Question 3 · part a · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) A free rider can be defined as an individual who does which **one** of the following?

(1)

- ☒ **A** Enjoys the benefit of a good after paying for it
- ☒ **B** Enjoys the benefit of a good but does not pay for it
- ☒ **C** Gives a good away after paying for it
- ☒ **D** Neither uses a good nor pays for it

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** House builder
- ☒ **B** Cattle farmer
- ☒ **C** Hotel receptionist
- ☒ **D** Forestry worker

(c) Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

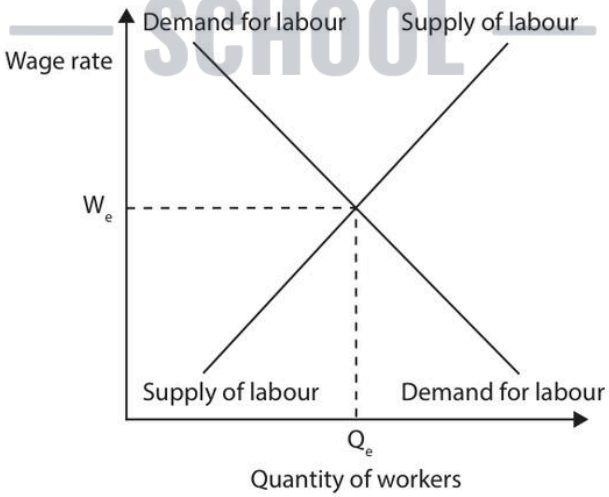

Figure 3

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · External costs and external benefits

Spillover costs and benefits falling on third parties; standard examples (pollution, congestion, litter; education, healthcare, vaccination); the ways business activity damages the environment (air, water, noise and visual pollution); and judging whether an activity or public spending is worthwhile on externality grounds.

24 question parts: 1 worked-example retry and 23 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-20

1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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In 2019, the National Health Service (NHS) in England began a campaign to check the records of all children who had been given the measles, mumps and rubella (MMR) vaccination. Those children missing the MMR vaccination were then invited to make an appointment to receive the vaccination.

(Source adapted from: https://www.gov.uk/government/publications/mmr-catch-up-for-10-to-11-year-old-children-information-for-gps)

(d) With reference to the data above and your knowledge of economics, analyse why vaccinations may be an external benefit.

(6)

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

Each year, in the UK there are an increasing number of shops closing down in town centres. At least 10% of all shops have been empty for the last five years. At the same time online sales are growing and reached more than 20% of total retail sales in 2019.

The continuing development of technology has made it easier for consumers to buy online. However, this is at a cost to some shop employees whose jobs have been replaced by machines that send out online orders from warehouses.

(e) With reference to the data above and your knowledge of economics, assess whether the availability of substitutes, such as machines, will reduce the demand for labour.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part e · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part e · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

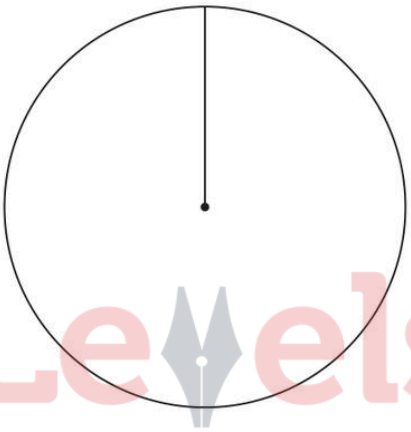

Figure 2

OLevels.COM SCHOOL

(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

2. Question 2 · part e · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Who should have the flu injection?

Flu is an unpredictable virus that can cause mild or unpleasant illness in most people. It can cause severe illness and even death among vulnerable groups, including older people, pregnant women and people with other health problems. These groups may, therefore, receive a free vaccination in the UK, to ensure they are protected against the virus. Although most people receive their vaccination from a public sector doctor, the UK Government has to pay private sector pharmacies to also provide this service. The cost to the UK Government of funding these vaccinations is over £100m per year.

(Source: adapted from https://www.nhs.uk/conditions/vaccinations/who-should-have-flu-vaccine/)

(f) Explain **one** possible reason why the UK Government pays private sector pharmacies to provide the flu vaccination.

(3)

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P 6 0 7 0 9 A 0 8 2 0

2. Question 2 · part e · 2 marks · Working and answer

Working and answer

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

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(1)

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(3)

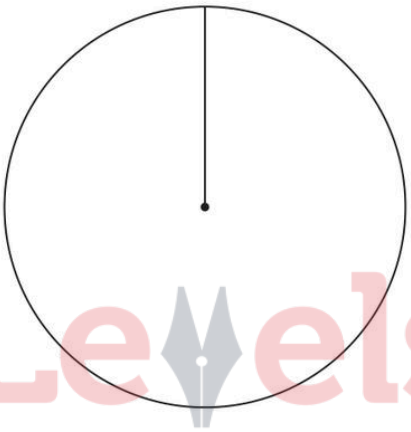

Figure 2

OLevels.COM SCHOOL

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(1)

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(2)

3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(Source: adapted from https://www.nhs.uk/conditions/vaccinations/who-should-have-flu-vaccine/)

(f) Explain **one** possible reason why the UK Government pays private sector pharmacies to provide the flu vaccination.

(3)

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) With reference to the data in **'Who should have the flu injection?'** and your knowledge of economics, assess whether the cost to the UK Government of funding the flu vaccination can be justified.

(9)

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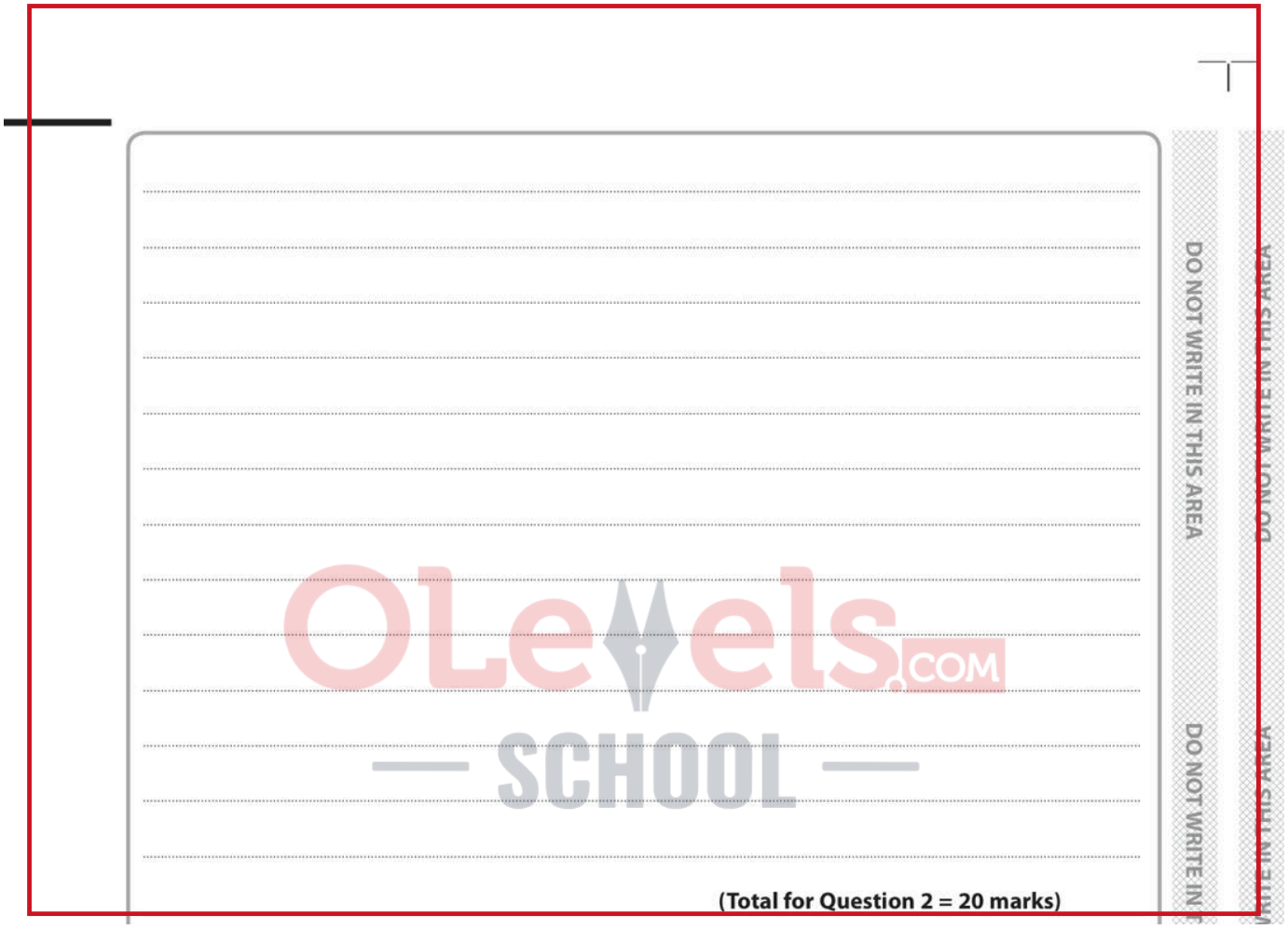
3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.



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3. Question 2 · part g · 9 marks · Working and answer

Working and answer

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4. Question 2 · part c · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part c only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

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P 6 0 7 4 8 A 0 7 2 4

7

Turn over ▶

4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

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An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

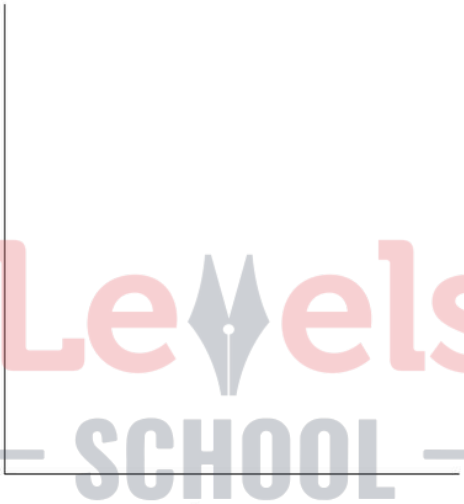

Figure 2

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

Technology has been used to perform some of the jobs previously done for many years by humans, for example, robots in factories and self-checkout machines. This substitution of capital for labour is likely to increase as technology advances. At most call centres, humans currently respond to customer queries but Google has developed an automated assistant. Many telecom firms have switched to using calls made by these automated assistants.

(d) With reference to the data above and your knowledge of economics, analyse how the demand for labour might be affected by the use of machines.

(6)

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

There are many reasons for firework displays. The 'bang', 'pop' and 'whizz' sounds, along with wide-ranging displays of colourful sparks are used to celebrate religious festivals and historical occasions, as well as private and public events. Some events charge an entry fee but people are still able to see and hear the fireworks without entering the venues. Former military personnel have complained this can bring back negative memories relating to war experiences. It can also disturb animals that are frightened by the loud noises.

(e) With reference to the data above and your knowledge of economics, assess whether fireworks have more negative than positive externalities.

(9)

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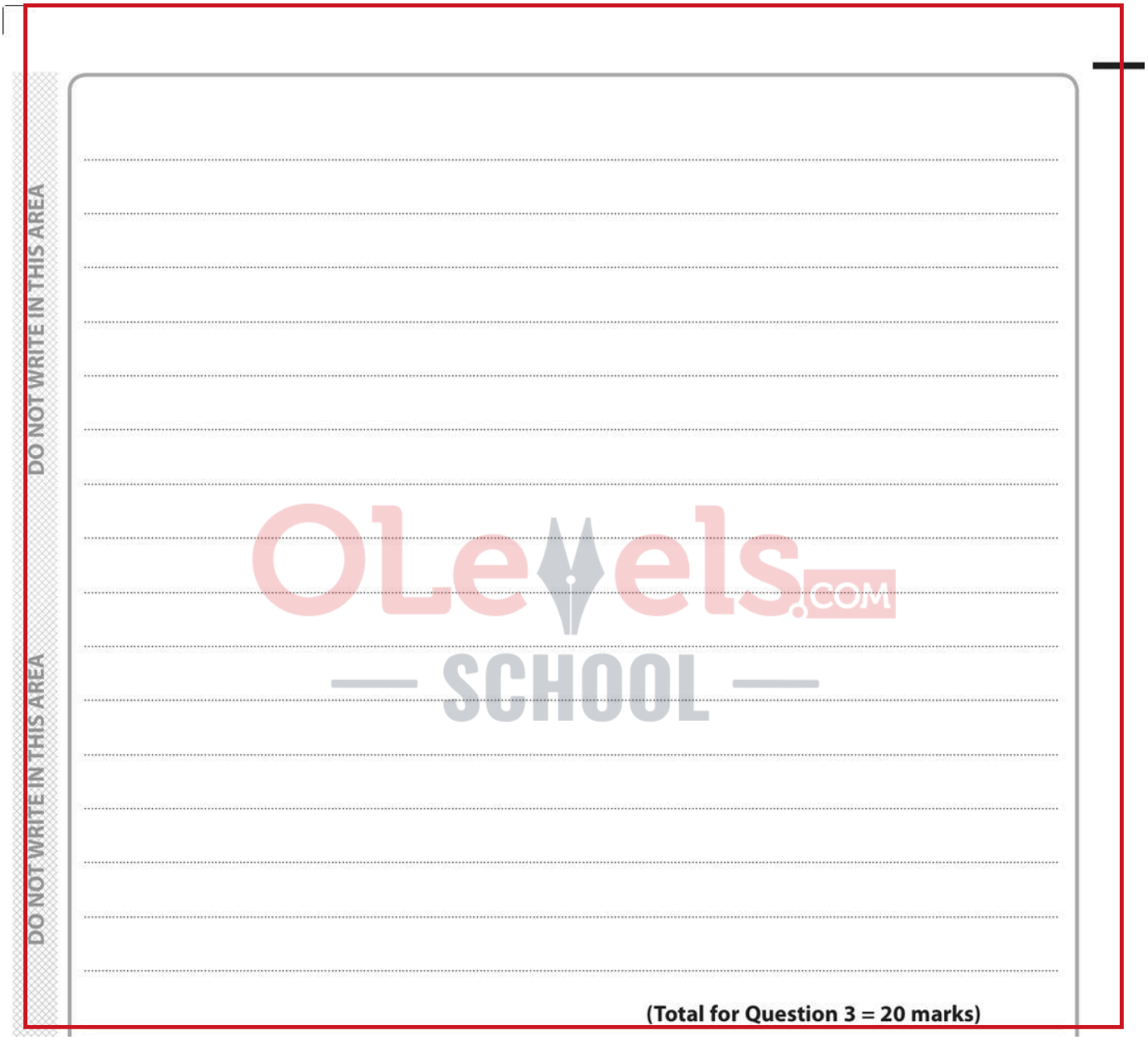
5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.



5. Question 3 · part e · 9 marks · Working and answer

Working and answer

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6. Question 1 · part e · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Car production is most likely to take place in which sector of the economy?

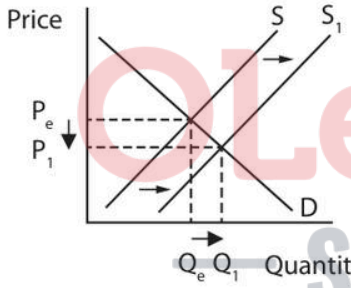
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

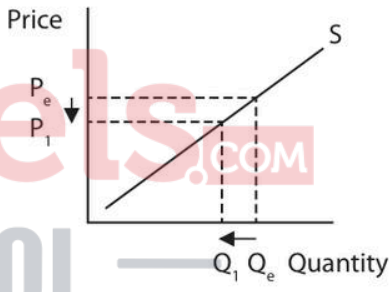
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

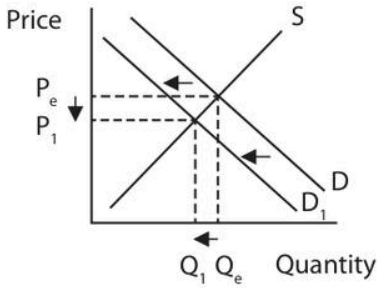
☒ **A**



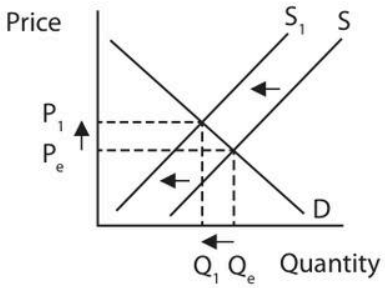
☒ **B**



☒ **C**



☒ **D**



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6. Question 1 · part e · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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6. Question 1 · part e · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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6. Question 1 · part e · 1 mark · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

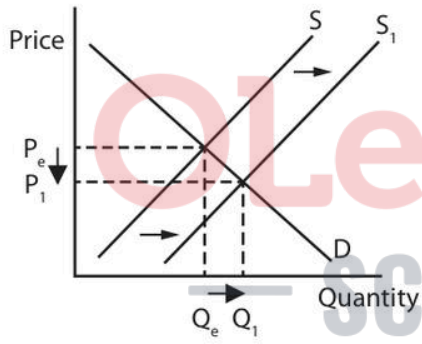
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

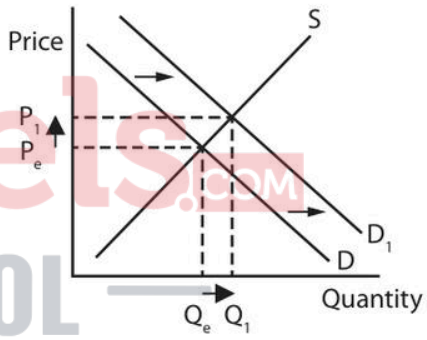
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

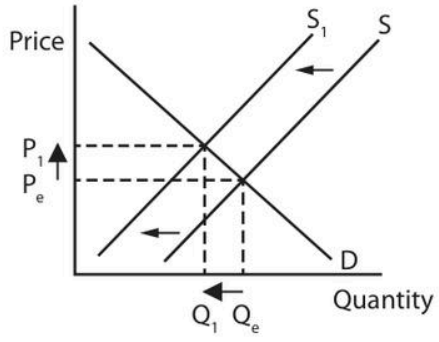
☒ **A**



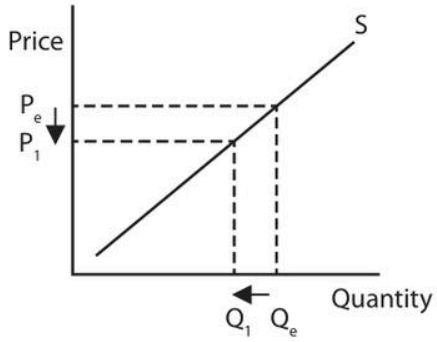
☒ **B**



☒ **C**



☒ **D**



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7. Question 1 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term external costs?

(2)

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(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

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7. Question 1 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

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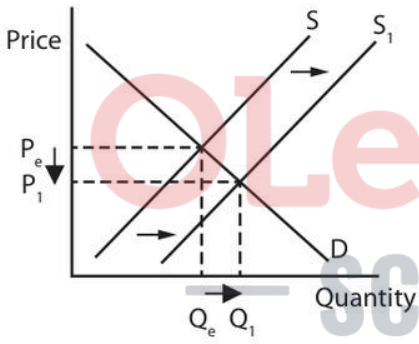
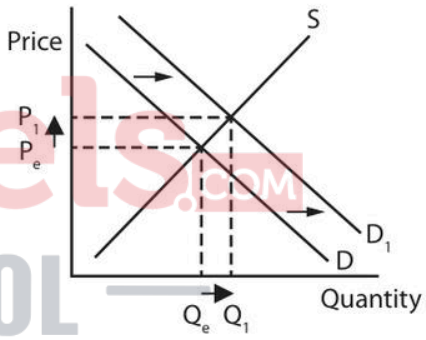
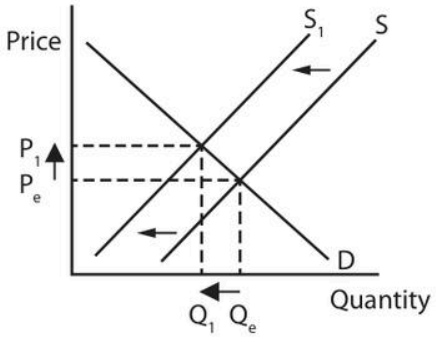


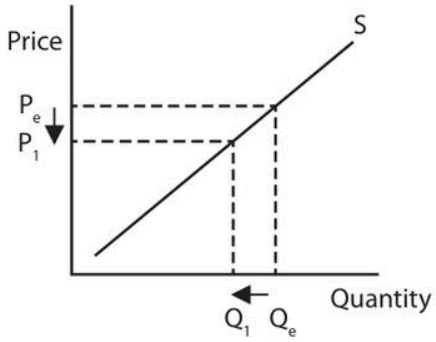
☒ **B**



☒ **C**



☒ **D**



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8. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

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9. Question 3 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

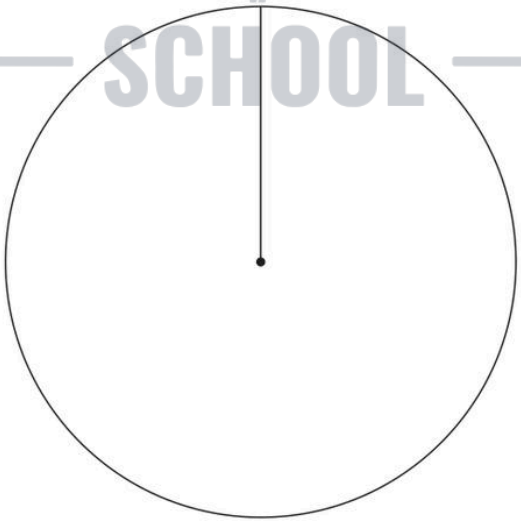

Figure 3

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9. Question 3 · part b · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
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(3)

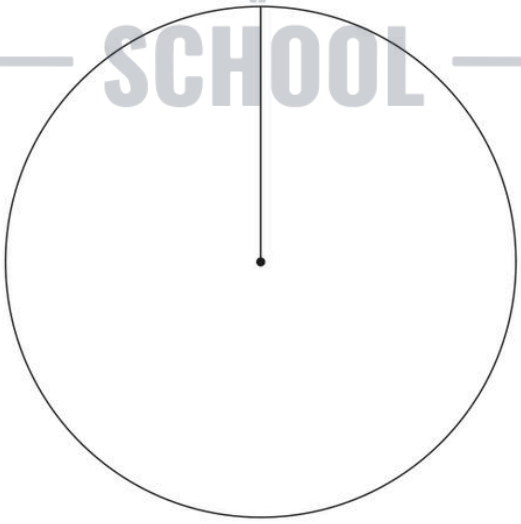

Figure 3

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

In the capital of Laos, Vientiane, residents and tourists can now use the LOCA app to hire a taxi. Figure 4 shows the excess supply of LOCA drivers working in an area of the city when the price of a journey is 10 000 Kip.

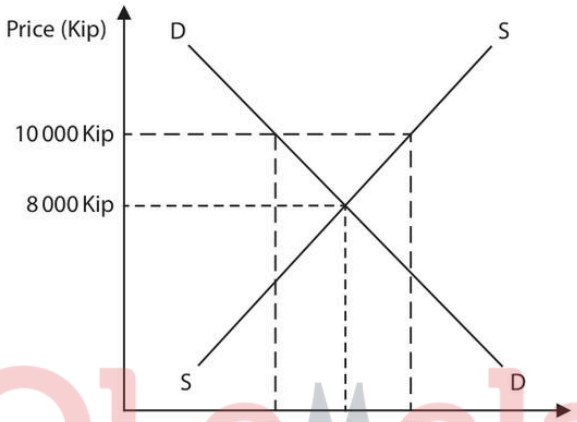

Figure 4

(d) With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply.

(6)

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

Public universities in Norway do not charge students any tuition fees. Education is funded by the government. In recent years Norway has spent more on education than any other country as a percentage of GDP. Norway also has one of the lowest rates of unemployment in the world.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education.

(9)

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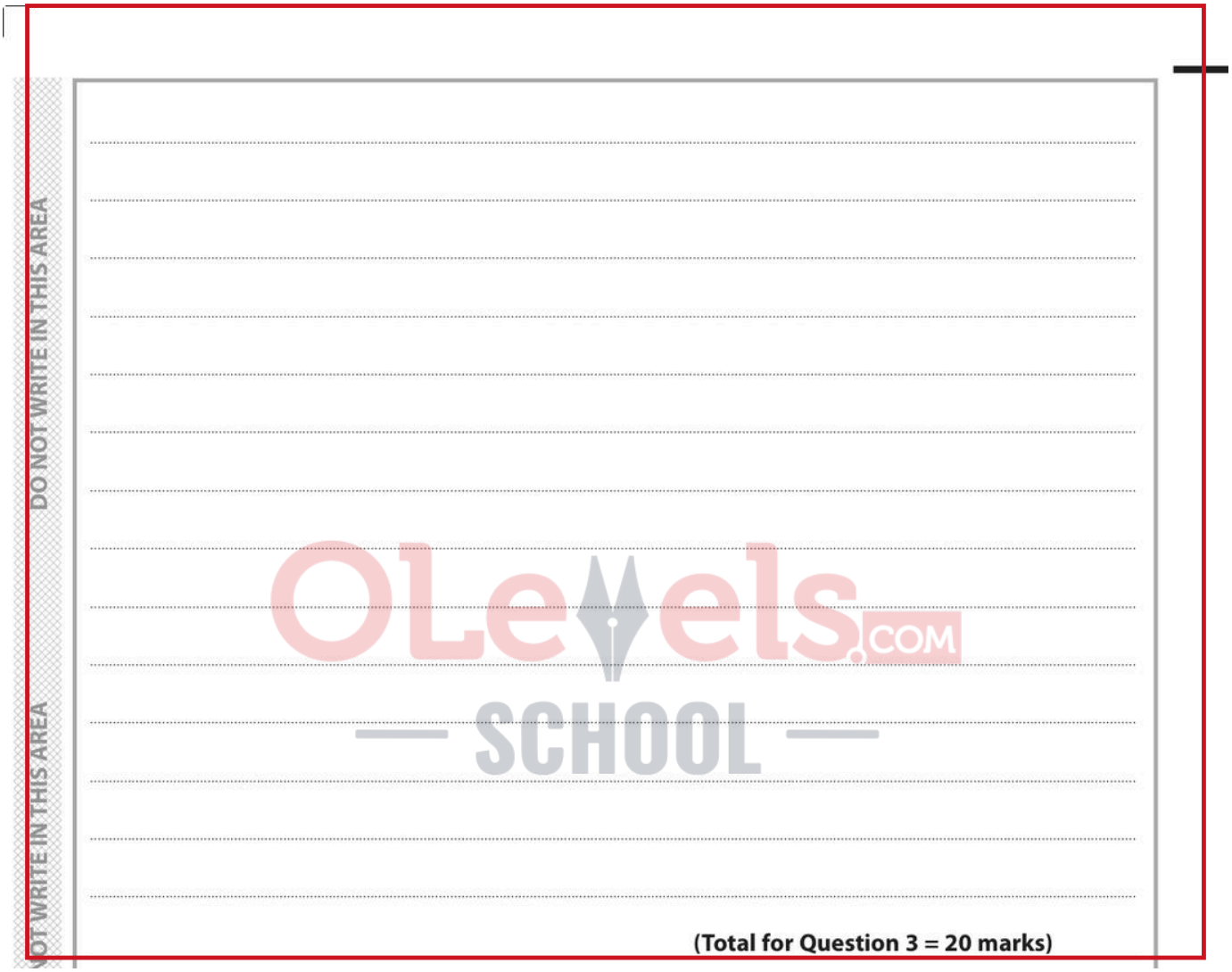
10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.



10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

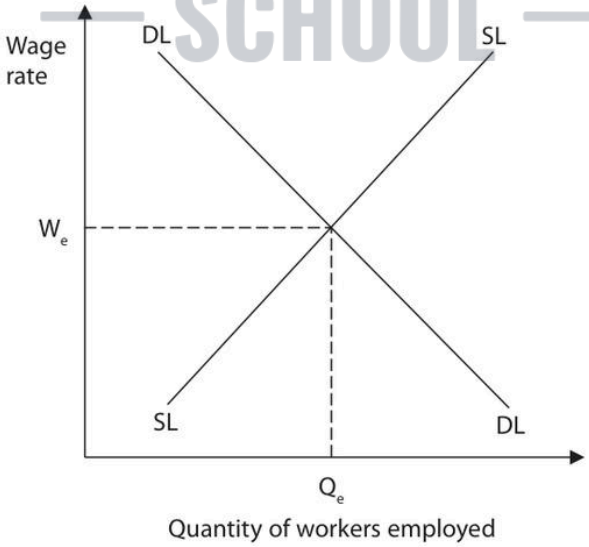

Figure 3

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11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

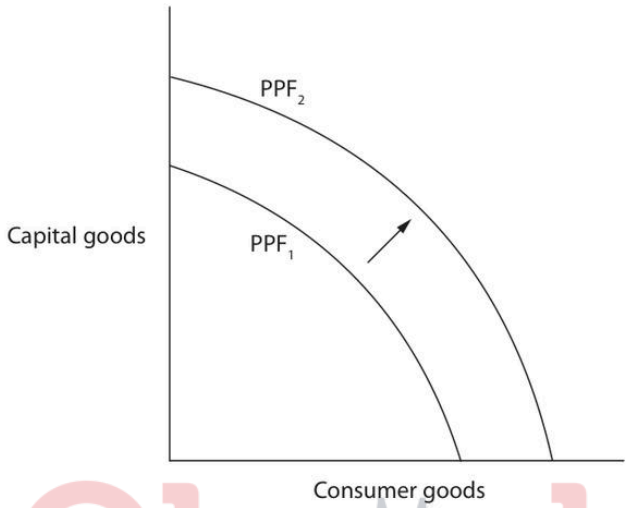

Figure 4

Figure 4 shows an outward shift in the production possibility frontier (PPF) for Zambia in 2019. Agriculture, construction and copper production are some of the main areas that contribute to the economy of Zambia.

(d) With reference to the data above and your knowledge of economics, analyse why the economy has moved from PPF_1 to PPF_2.

(6)

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11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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OLevels.com SCHOOL

11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

It is estimated that 23 billion bricks are made each year in Bangladesh. The industry employs over one million people. Demand for bricks is rising due to growth in the construction industry. The production of bricks contributes to the severe air pollution in the country by emitting smoke and dust clouds. Children, the elderly, pregnant women and those with a respiratory or heart condition may be especially affected by the poor air quality.

(Source adapted from: https://undark.org/2018/09/05/air-pollution-dhaka/)

(e) With reference to the data above and your knowledge of economics, assess the extent to which the costs of producing bricks in Bangladesh are external costs.

(9)

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16

P 6 6 3 2 7 A 0 1 6 2 4

11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

11. Question 3 · part e · 9 marks · Working and answer

Working and answer

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

Olevels.com SCHOOL

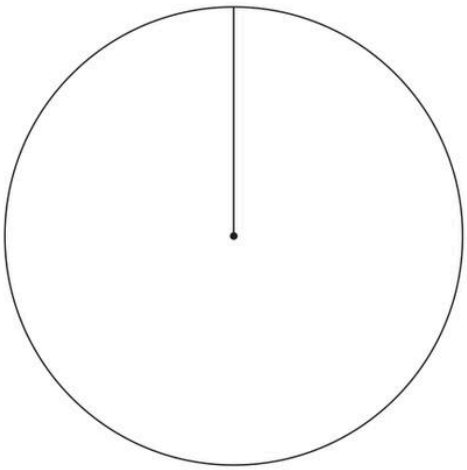

Figure 5

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

There are plans to build a $296m residential tower in the business district of Sydney, Australia, but some local people do not want the tower to be built.

(Source adapted from: https://architectureau.com/articles/tallest-residential-tower-in-sydney-approved/)

(d) With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower.

(6)

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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Dubai in the UAE has a population of more than 2.5 million people. Immigrant workers make up over 80% of this population. Many of the immigrants provide construction, cleaning or care services.

(Source adapted from: https://www.futurelearn.com/info/courses/migration-theories/0/steps/35094)

(e) With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour.

(9)

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12. Question 3 · part d · 6 marks · Working and answer

Working and answer

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13. Question 3 · part b · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

Figure 3

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13. Question 3 · part b · 1 mark · Working and answer

Working and answer

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14. Question 2 · part e · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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14. Question 2 · part e · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

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14. Question 2 · part e · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

China announced that in 2021 it would increase its import quota for crude oil by 20%.

(f) Using the diagram below, draw the effect of the introduction of the new quota.
Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

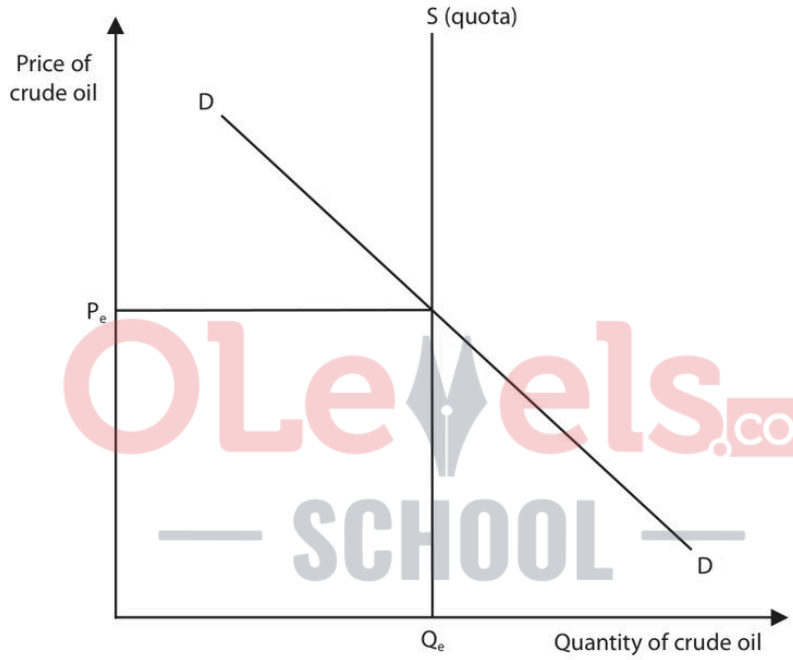

Figure 2

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P 7 1 5 5 8 A 0 1 0 2 4

14. Question 2 · part e · 3 marks · Working and answer

Working and answer

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

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3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

Lithium is used in batteries to power various electrical and electronic goods including mobile phones and electric cars. Lithium has to be mined from the ground and large deposits are found in countries such as Chile. Lithium mining uses a lot of water – approximately 2 million litres per tonne of lithium.

(d) Analyse how business activity can damage the environment in a country such as Chile.

(6)

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

The number of unemployed people in Spain reached 4 million in February 2021. This was a rise of 44,436 people from the previous month and was the highest level since May 2016. This was the fifth monthly increase in unemployment. The sectors most affected included tourism and commerce. The only sector that made a recovery was construction.

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain.

(9)

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15. Question 3 · part d · 6 marks · Working and answer

Working and answer

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16. Question 2 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

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(c) State **one** example of an external benefit. **(1)**

.....

.....

.....

P 7 4 0 5 7 A 0 7 2 4

7

Turn over ▶

16. Question 2 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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P 7 4 0 5 7 A 0 8 2 4

16. Question 2 · part c · 1 mark · Working and answer

Working and answer

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17. Question 1 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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P 7 4 0 5 6 R A 0 2 2 4

17. Question 1 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

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(e) Define the term congestion.

(1)

17. Question 1 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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17. Question 1 · part e · 1 mark · Working and answer

Working and answer

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18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

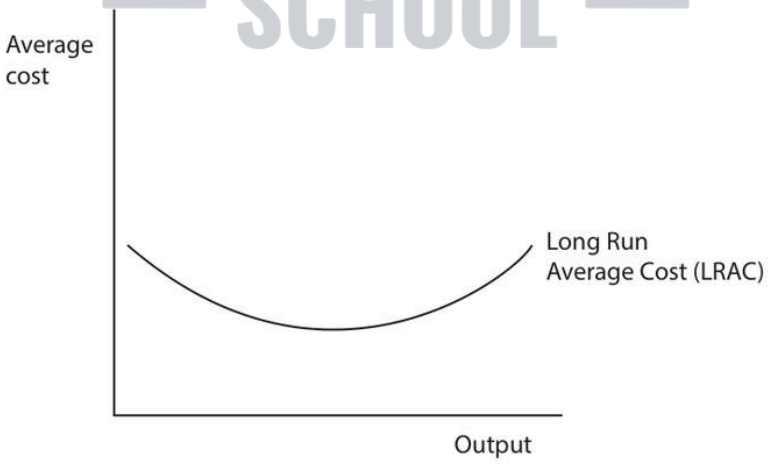

Figure 4

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18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

The education system in Japan is one of the best in the world. Primary and secondary education is free, with a typical school day from 08:00 to 15:00 or 16:00, depending on the age of the students.

(Source: adapted from https://www.internations.org/japan-expats/guide/education)

(d) With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit.

(6)

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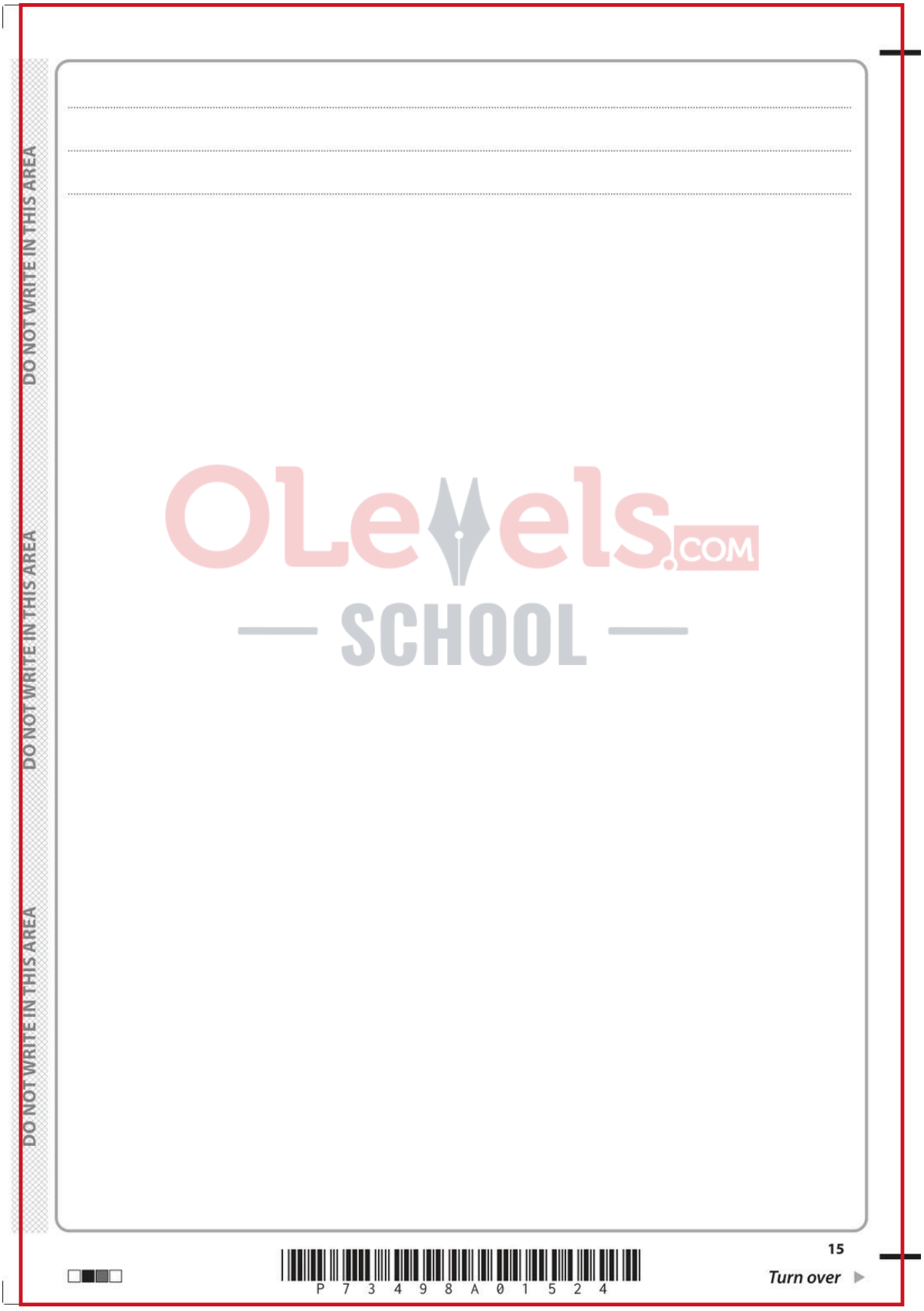
18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.



18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

Simona owns a hairdressing business in Romania. She charges low prices and makes no charge when customers arrive late for appointments or make very late cancellations. She thinks customer care is more important than making a profit.

However, some customers have complained at having to wait weeks before an appointment is available. As a result, Simona has lost customers. This has caused financial problems in repaying a loan to the bank.

In response, Simona is considering increasing her prices and charging a fee to those who arrive late or cancel without suitable notice.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes.

(9)

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18. Question 3 · part d · 6 marks · Working and answer

Working and answer

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19. Question 1 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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19. Question 1 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

19. Question 1 · part d · 2 marks · Working and answer

Working and answer

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20. Question 1 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a definition of opportunity cost?

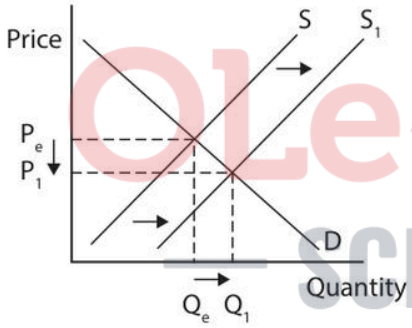
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

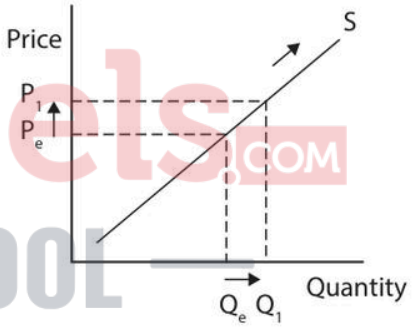
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

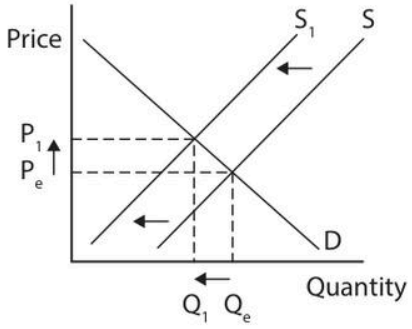
☒ **A**



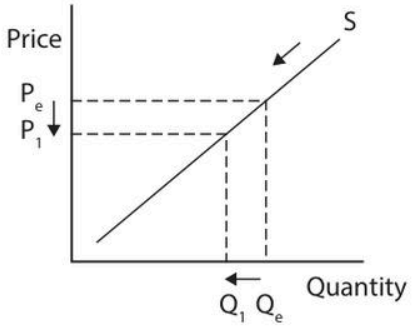
☒ **B**



☒ **C**



☒ **D**



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20. Question 1 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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20. Question 1 · part c · 2 marks · Working and answer

Working and answer

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21. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a definition of opportunity cost?

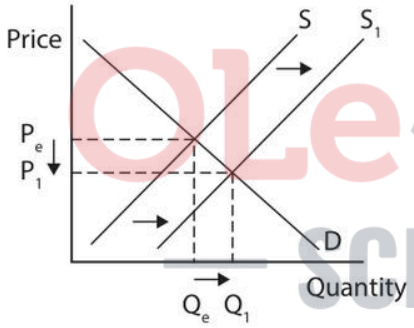
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

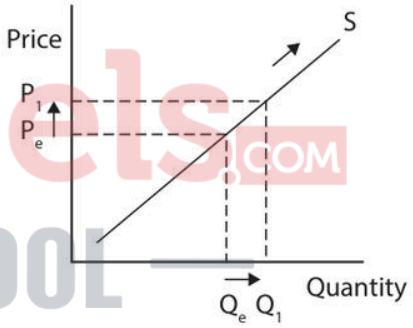
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

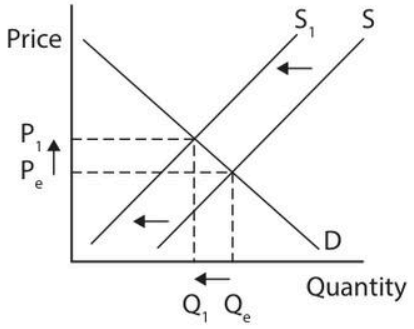
☒ **A**



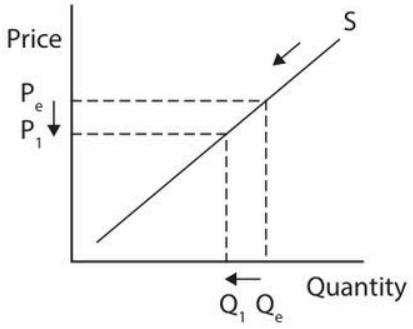
☒ **B**



☒ **C**



☒ **D**



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21. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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21. Question 1 · part d · 1 mark · Working and answer

Working and answer

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22. Question 3 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

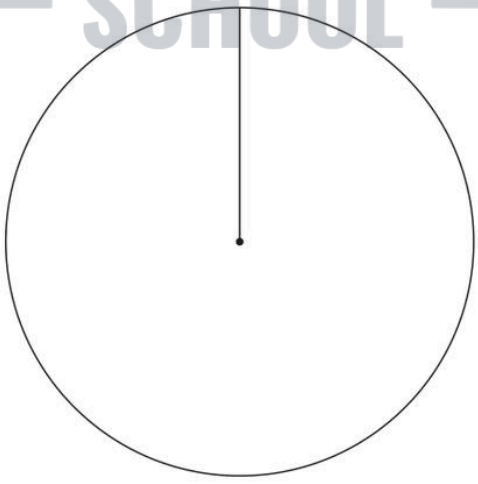

Figure 4

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P 7 2 1 3 3 A 0 1 2 2 4

22. Question 3 · part b · 1 mark · Working and answer

Working and answer

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

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- ☒ **A** Litter
- ☒ **B** Rent
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(3)

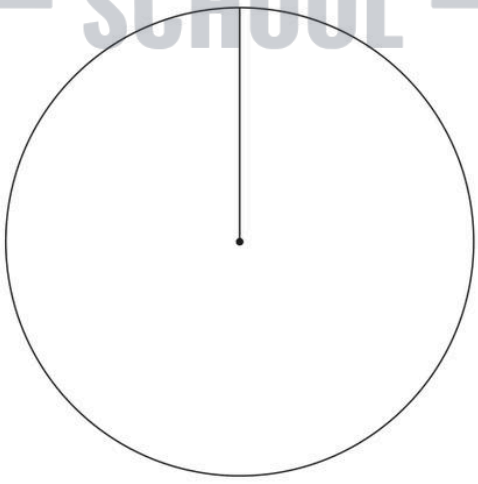

Figure 4

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P 7 2 1 3 3 A 0 1 2 2 4

23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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Figure 5 shows the excess demand for tickets at an event in Stockholm, Sweden, when the price of a ticket is 1 500 krona.

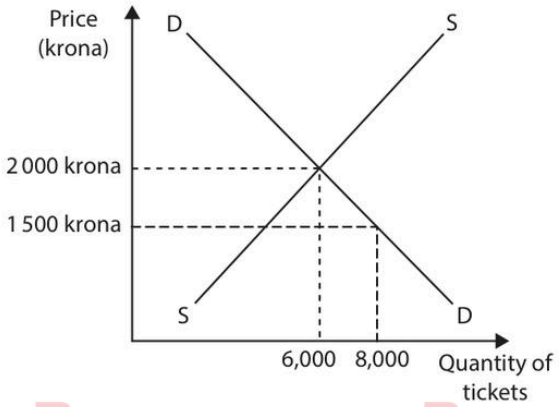

Figure 5

(d) With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand.

(6)

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

In 2021, the Indonesian Government spent 9.4% of its budget on healthcare. By 2027, healthcare spending will more than double on a per capita basis from $114 to $269.

This increase is due to an improvement in Indonesia's economic growth. The growth is partly because more people in other countries want to buy goods and services made in Indonesia.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending.

(9)

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

23. Question 3 · part e · 9 marks · Working and answer

Working and answer

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24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.

4 Figure 5 shows the number of single-use plastic bags sold by the main retailers in the UK in 2021 and 2023.

Year	Number sold
2021	197 million
2023	133 million

Figure 5

(a) Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working.

(2)

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20

P 7 2 1 3 4 A 0 2 0 2 8

24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.

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From food to clothes, supply chains have harmful impacts on the environment. In 2023, the supply of consumer goods and services was the largest single contributor to UK emissions at 26% of the annual total; the UK energy sector was second highest at 17%.

(b) With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK.

(6)

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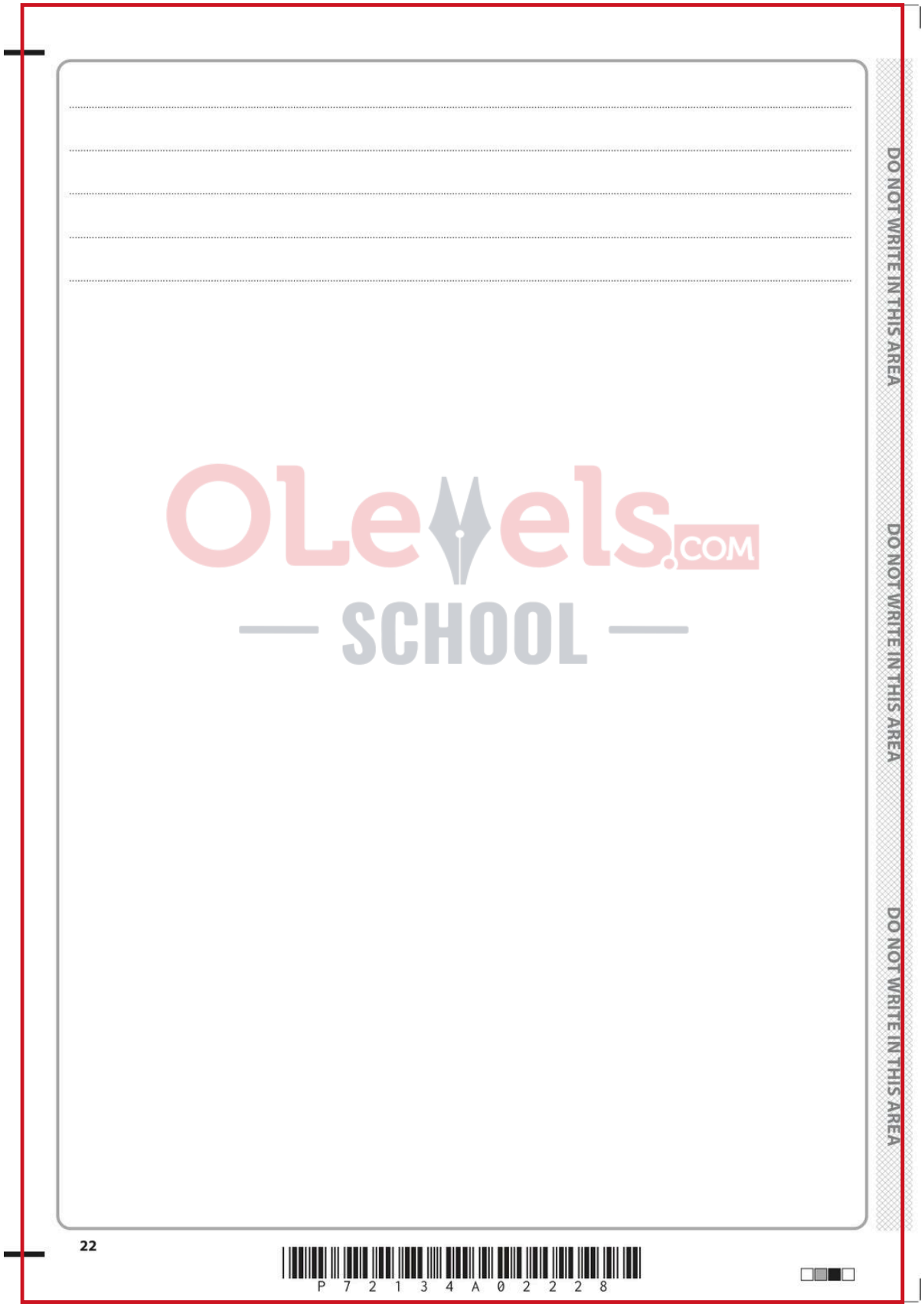
24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.



24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.

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In October 2023, the UK Government introduced more regulations to tackle the problem of litter and to protect the environment from a range of single-use plastic items.

No firm in the food industry will now be able to sell single-use plastic cutlery, polystyrene cups, plastic plates and food containers in England.

Research shows people across England use 2.7 billion items of mostly plastic single-use cutlery and 721 million single-use plates every year, but only 10% of these are recycled.

Plastic pollution takes hundreds of years to break down and causes serious damage to oceans, rivers and land. It is a source of greenhouse gas emissions, from its production and manufacture to the way it is disposed of.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK.

(12)

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24. Question 4 · part b · 6 marks · Working and answer

Working and answer

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Practice workbook · Social costs and social benefits formulas

The formulas linking private and external costs and benefits to social costs and benefits.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-21

1. Question 2 · part d · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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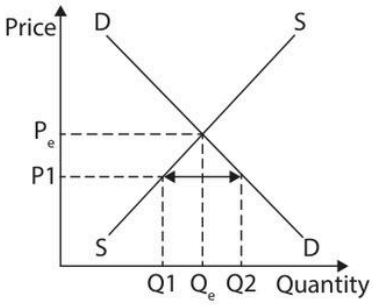
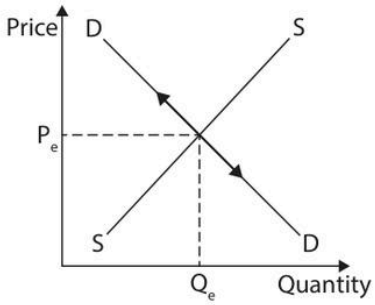
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

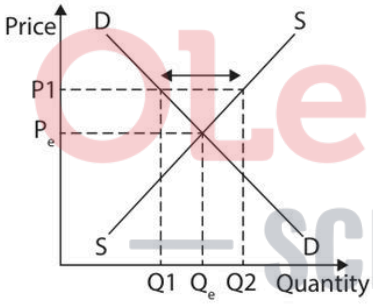
☒ **A**



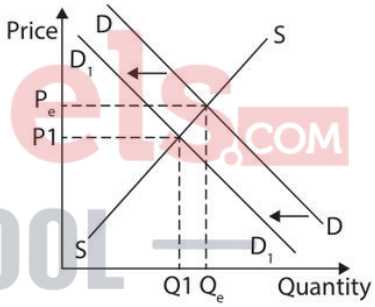
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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1. Question 2 · part d · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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8

P 7 2 9 6 8 R A 0 8 2 4

1. Question 2 · part d · 2 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 2 · part d · 1 mark

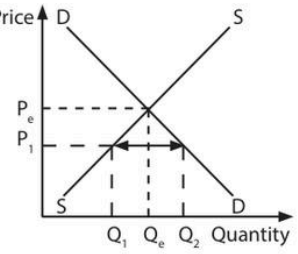
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

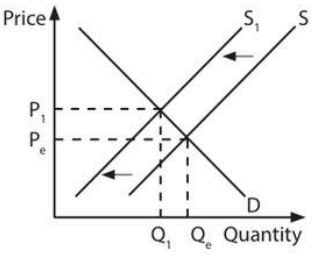
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

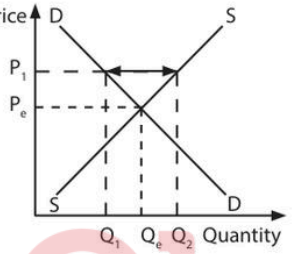
☒ **A**



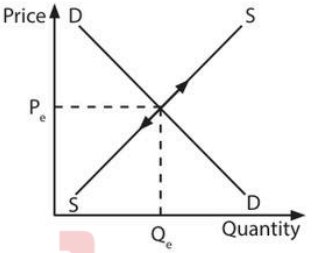
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

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P 5 8 2 7 6 A 0 9 2 8

3. Question 2 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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4. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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P 6 5 8 9 7 R A 0 3 2 0

3

Turn over

4. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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5. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

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(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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6. Question 2 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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P 7 1 5 5 6 A 0 8 2 4

6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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7. Question 3 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

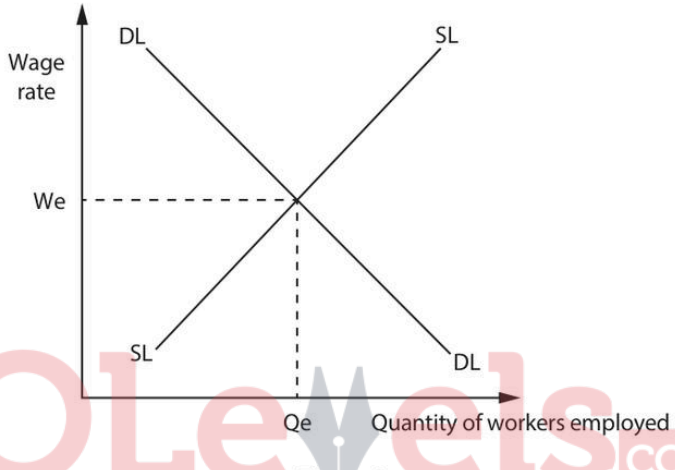

Figure 4

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7. Question 3 · part b · 1 mark · Working and answer

Working and answer

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8. Question 2 · part d · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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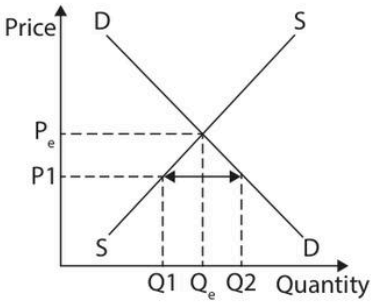
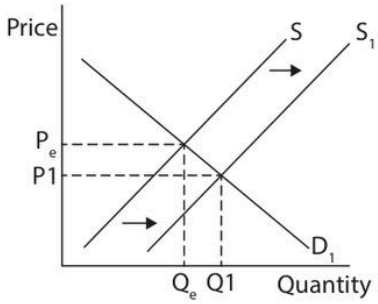
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

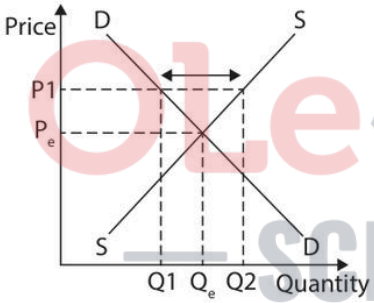
☒ **A**



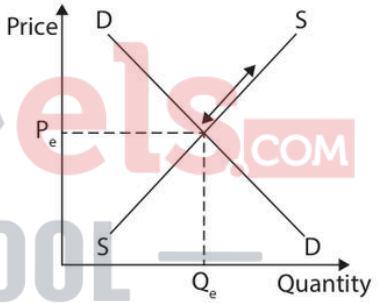
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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8. Question 2 · part d · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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8

P 7 2 9 6 7 A 0 8 2 4

8. Question 2 · part d · 2 marks · Working and answer

Working and answer

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9. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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P 7 2 1 3 2 A 0 2 2 4

9. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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9. Question 1 · part d · 1 mark · Working and answer

Working and answer

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10. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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10. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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10. Question 1 · part d · 1 mark · Working and answer

Working and answer

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Practice workbook · Privatisation: effects on stakeholders and the economy

What privatisation is, its likely effects on consumers, workers, the firm, rivals and government, and its use as a supply-side policy to raise efficiency and productivity.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-19

1. Question 3 · part d · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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3 (a) Which **one** of the following is an example of a job in the primary sector of the economy?

(1)

- ☒ **A** Farmer
- ☒ **B** Mechanic
- ☒ **C** Shop assistant
- ☒ **D** Teacher

(b) Total revenue can be defined as the quantity of goods sold

(1)

- ☒ **A** added to the price
- ☒ **B** subtracted from the price
- ☒ **C** multiplied by the price
- ☒ **D** divided by the price

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(c) Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.

(3)

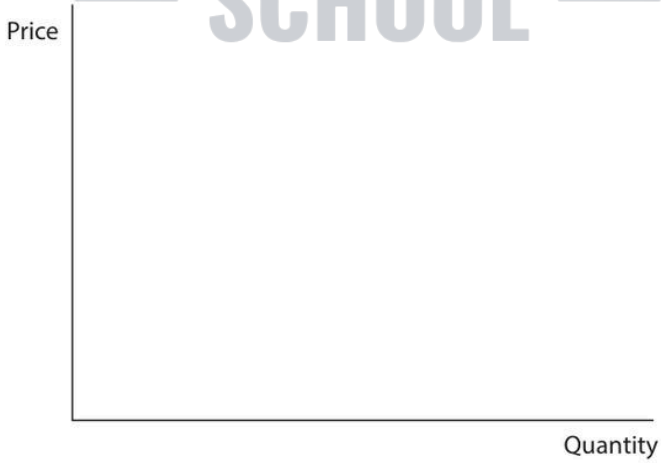

Figure 2

1. Question 3 · part d · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

At the start of 2023, a study was carried out on the government-owned Portuguese airline, TAP Air, to see whether there were any potential investors. The objective was to begin the process of privatising TAP Air as soon as possible.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air.

(6)

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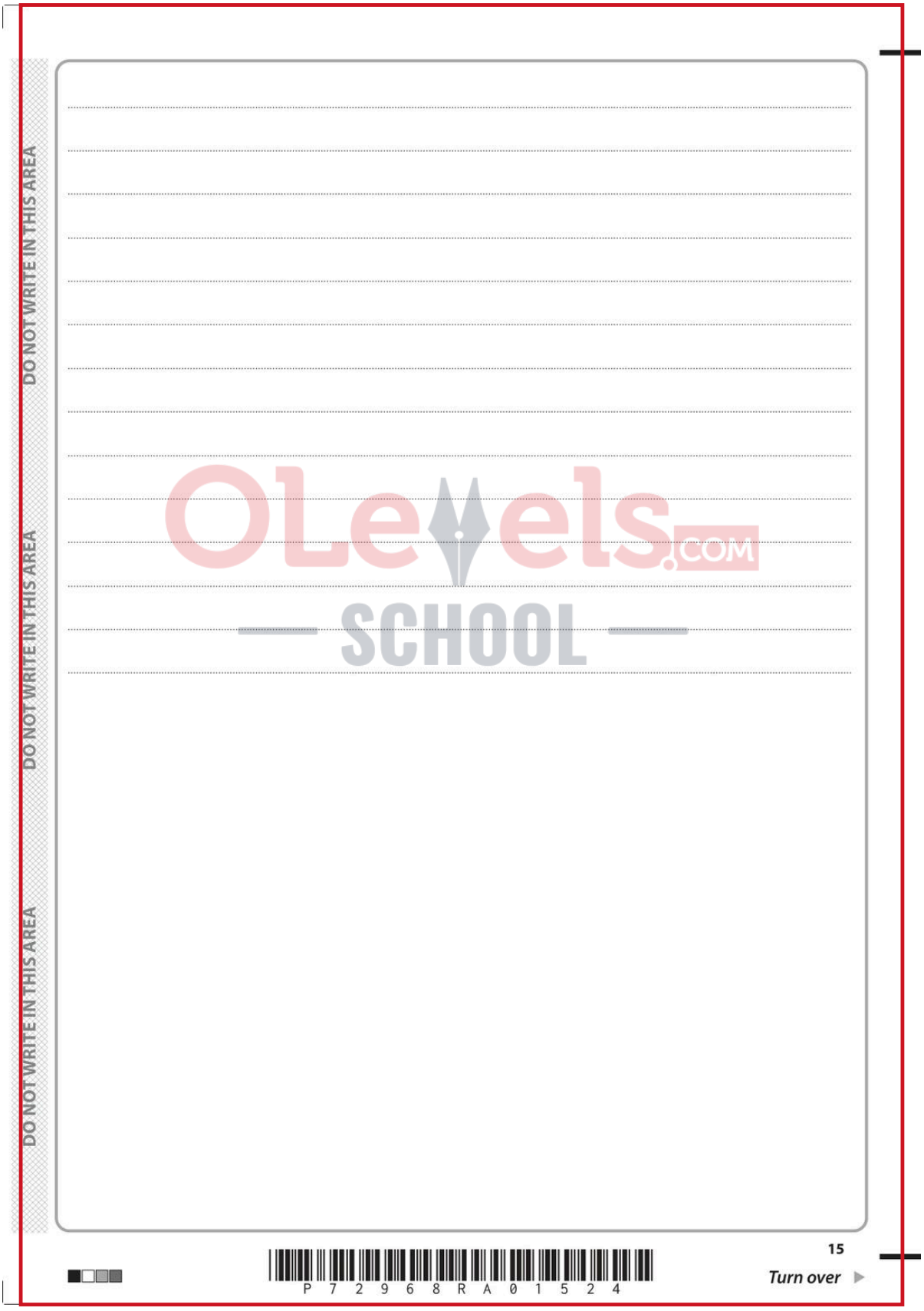
14

P 7 2 9 6 8 R A 0 1 4 2 4

1. Question 3 · part d · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

Prime Hydration is a range of drinks launched in 2022 by YouTube celebrities, KSI and Logan Paul. It was instantly very popular, especially with teenagers. At its launch in the UK, the recommended retail price for a bottle was £1.99.

However, the price of a bottle on Amazon ranged from £8.25 to £19.99 but availability was not guaranteed.

(e) With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers.

(9)

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P 7 2 9 6 8 R A 0 1 6 2 4

1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following is most likely to cause an increase in the supply of labour?

(1)

- ☒ **A** A higher retirement age
- ☒ **B** A higher school-leaving age
- ☒ **C** A fall in population
- ☒ **D** A fall in demand for the final product

(b) Average costs can be calculated by which **one** of the following equations?

(1)

- ☒ **A** $\frac{\text{Total revenue}}{\text{Total costs}}$
- ☒ **B** $\frac{\text{Total revenue}}{\text{Price}}$
- ☒ **C** $\frac{\text{Output}}{\text{Total fixed costs}}$
- ☒ **D** $\frac{\text{Total costs}}{\text{Output}}$

(c) Draw a demand curve on the diagram below that has price elastic demand (PED). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

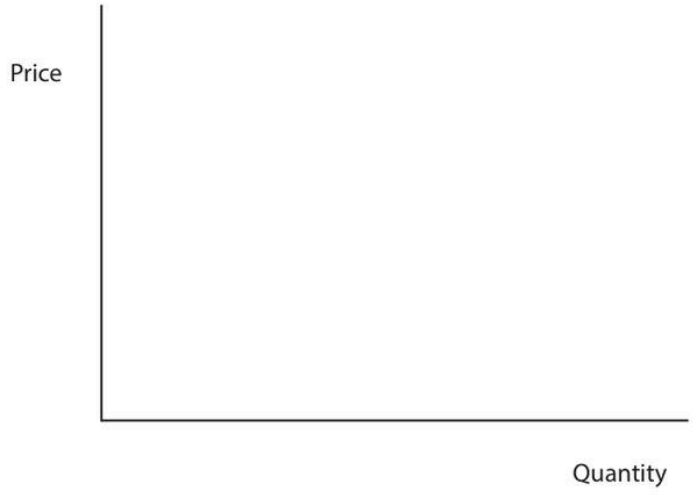

Figure 2

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P 5 8 2 7 6 A 0 1 4 2 8

2. Question 3 · part d · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

During the last six years, the government budget of Slovenia has raised almost €1bn in revenue from the privatisation of public sector assets. Most recently was the sale of 65% of the government shares in NLB Bank. The money raised from the sales was mostly transferred to the government budget and used for various purposes. These included the repayment of public sector debt and the long-term stability of the Slovenian pension system.

(Source adapted from: https://www.total-slovenia-news.com/business/2564-privatisation-in-slovenia-has-raised-almost-1bn-since-2012)

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits of privatisation for the Slovenian Government.

(6)

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

2. Question 3 · part d · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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In the Republic of Korea, firms such as Hyundai and Kia produce cars. In addition, the Republic has 28,951 farms producing organic fruits such as strawberries. It is one of the most important organic producers in Asia.

(Source adapted from: http://www.intracen.org/exporters/organic-products/country-focus/Country-Profile-South-Korea/)

(e) With reference to the data above and your knowledge of economics, assess whether the price elasticity of supply (PES) is likely to be more price elastic for cars than for organic strawberries.

(9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 1 · part b · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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P 5 8 3 8 5 A 0 2 2 4

3. Question 1 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

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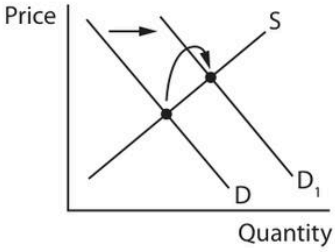
2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

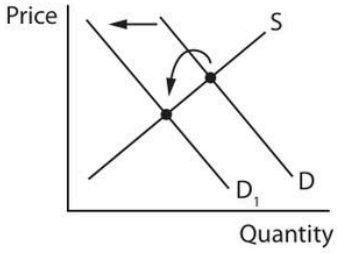
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

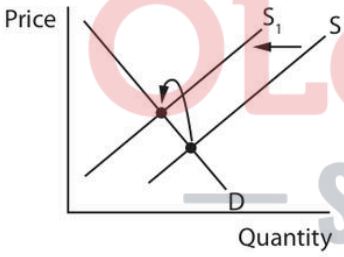
☒ **A**



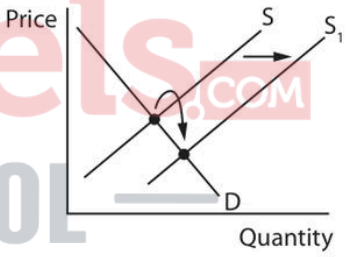
☒ **B**



☒ **C**



☒ **D**



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4. Question 2 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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4. Question 2 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

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In 2018, Germany had a current account surplus of €268bn. Germany uses the euro (€) which had recently weakened against other major currencies.

(e) Explain **one** reason why a fall in the value of the euro (€) may have resulted in a positive impact on Germany's current account.

(3)

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4. Question 2 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

In 2019, the Indian Government privatised six major state-owned airports. It handed over the operations, management and development of the airports to private sector firms for the next 50 years.

(f) Explain **one** way privatisation could improve productivity in these Indian airports.

(3)

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4. Question 2 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

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Canada Child Benefit (CCB) payments get a boost

In 2018, the monthly tax-free welfare benefit for children was increased to match the cost of living in Canada.

The amount a family receives is calculated based on income. As a family's income rises the amount of benefits decrease. Some higher income households do not receive the benefit at all. The CCB has distributed more than CAD$23.3bn to around 3.7 million Canadian families, and has helped to remove more than 300,000 children out of poverty.

(g) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as Canada.

(9)

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4. Question 2 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part f · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	–1.5
☒ **B**	**X**	–1
☒ **C**	**Y**	–0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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P 6 5 8 9 6 A 0 6 2 4

5. Question 2 · part f · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

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Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

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Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

5. Question 2 · part f · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

(f) Describe **one** benefit to consumers of privatisation.

(2)

Microsoft has a patent on a number of its technological designs.

(g) Explain **one** reason why Microsoft might have patents on its designs.

(3)

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P 6 5 8 9 6 A 0 8 2 4

5. Question 2 · part f · 2 marks · Working and answer

Working and answer

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6. Question 4 · part c · 12 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

4 Figure 4 shows profit for a firm between 2017 and 2019.

Year	Profit ($)
2017	80 750
2018	83 550
2019	87 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** between 2017 and 2019, for the firm. You are advised to show your working.

(2)

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6. Question 4 · part c · 12 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

Trekking is a very popular activity for tourists in Nepal. In the main tourist town of Pokhara, there are a few large firms that offer guides, porters and resources. Some smaller firms specialise in taking customers on less popular routes, whereas others offer guides who speak different languages. It is difficult for new competitors to set up in Pokhara, as expensive permits are required.

(b) With reference to the data above and your knowledge of economics, analyse why the market for trekking in Pokhara could be described as an oligopoly.

(6)

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6. Question 4 · part c · 12 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

State-owned airline, Air India, currently offers a high number of domestic flights from both Mumbai and New Delhi. It also flies to destinations worldwide, including the US and Europe. However, it has reduced the number of countries it flies to, especially in other parts of Asia and Africa.

The Indian Government has announced plans to sell all its shares in the airline. Air India had been making a loss and struggling to pay oil companies for its fuel. However, the government reduced almost half of this debt before making the announcement to sell the airline.

(c) With reference to the data above and your knowledge of economics, evaluate whether Air India is likely to benefit from privatisation.

(12)

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6. Question 4 · part c · 12 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

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18

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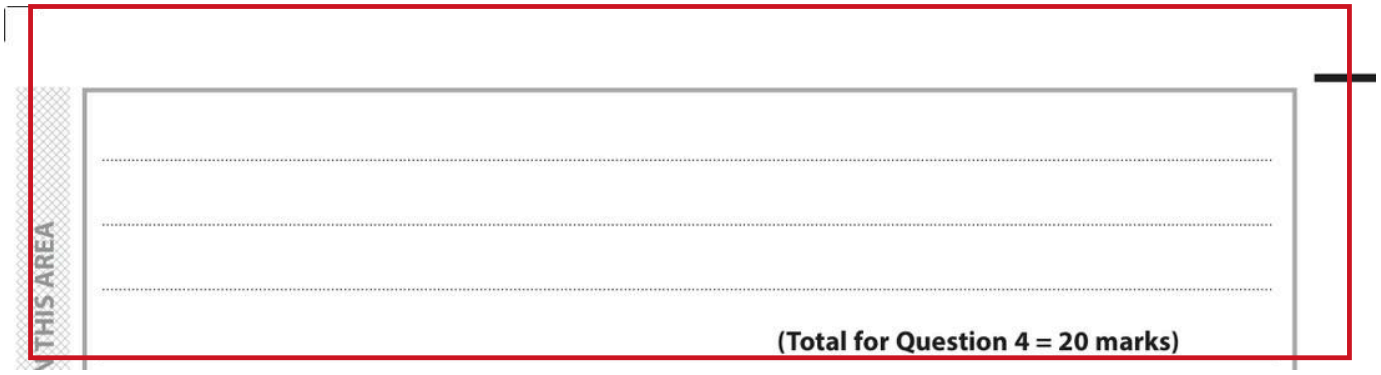
6. Question 4 · part c · 12 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.



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6. Question 4 · part c · 12 marks · Working and answer

Working and answer

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7. Question 3 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

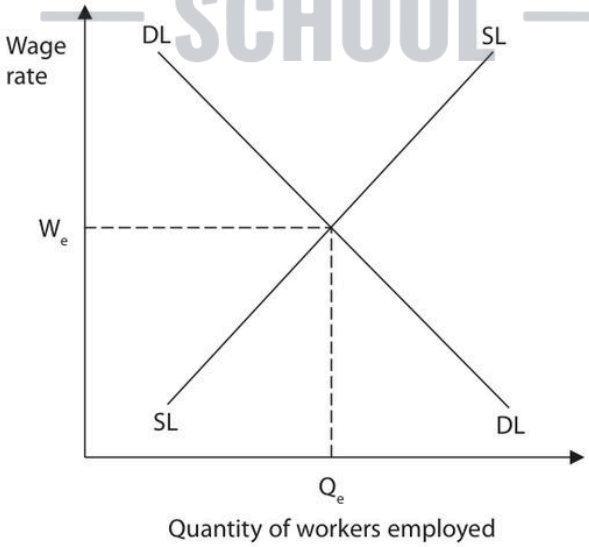

Figure 3

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7. Question 3 · part a · 1 mark · Working and answer

Working and answer

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8. Question 1 · part h · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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8. Question 1 · part h · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

Olevels.com SCHOOL

8. Question 1 · part h · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

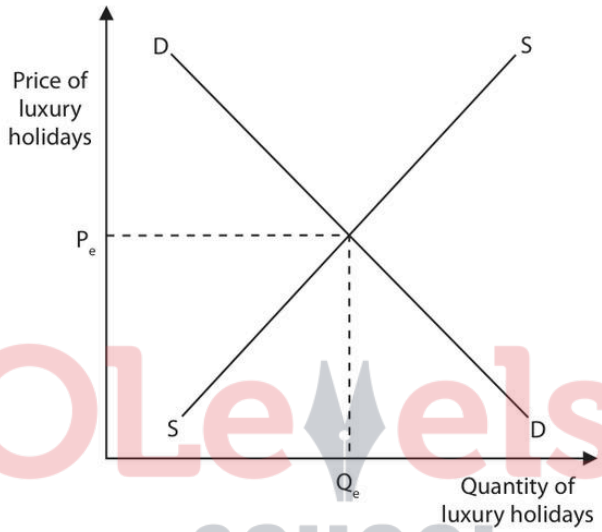

Figure 1

Government-owned Angola Telecom is to be privatised in an attempt to make the industry more efficient.

(h) Explain **one** possible disadvantage of privatisation for workers in the telecoms industry in Angola.

(3)

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8. Question 1 · part h · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

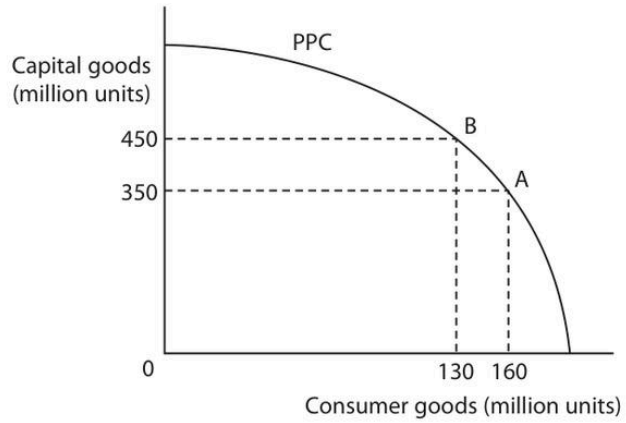

Figure 2

Figure 2 shows the production possibility curve (PPC) for an economy.

(i) With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC).

(6)

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8. Question 1 · part h · 3 marks · Working and answer

Working and answer

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9. Question 2 · part d · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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9. Question 2 · part d · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

In March 2021, the Scottish Government announced a package of measures worth £37.2m. This money is to be given to low income households to tackle poverty and inequality in Scotland.

(e) Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality.

(3)

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9. Question 2 · part d · 2 marks · Working and answer

Working and answer

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10. Question 1 · part c · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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P 7 4 0 5 6 R A 0 2 2 4

10. Question 1 · part c · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

(e) Define the term congestion.

(1)

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10. Question 1 · part c · 2 marks · Working and answer

Working and answer

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11. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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P 7 4 0 5 8 R A 0 1 3 2 4

11. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

In December 2021, the UK and Australia signed a free trade agreement. The agreement will remove 99% of the tariffs on imports from Australia.

(d) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms.

(6)

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11. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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11. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

The Shetland Islands are part of Scotland. Shetland College is the only Further Education college located in the Shetland Islands. It was privatised in August 2021. The managers at the college claim privatisation will improve educational and training opportunities on the Shetland Islands.

Critics claim it could negatively impact staff contracts and working conditions. It may reduce the number of courses available to students and allow managers at the college to award themselves much higher levels of pay.

(Source: https://www.thenational.scot/news/19483135.campaigners-unions-issue-warning-shetland-college-privatisation/)

(e) With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college.

(9)

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11. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

11. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 1 · part h · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

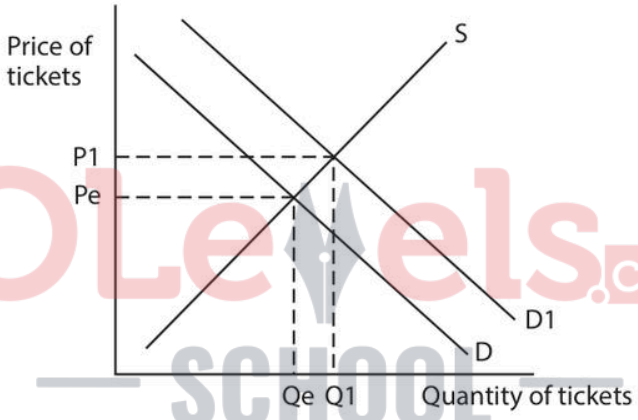

Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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12. Question 1 · part h · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part h only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

(e) Define the term excess supply.

(1)

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12. Question 1 · part h · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part h only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

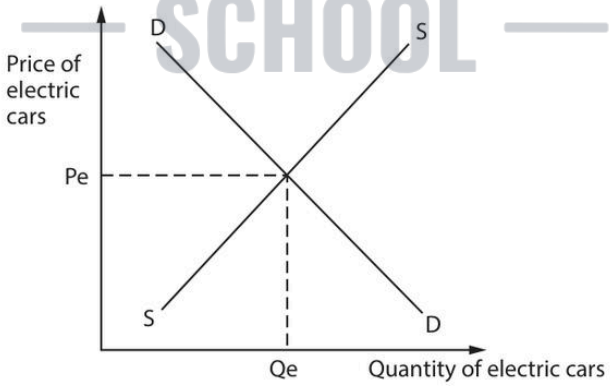

Figure 2

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12. Question 1 · part h · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part h only.

The Brazilian Government announced plans to privatise one of its state-owned food companies.

(h) Explain **one** possible advantage of privatisation for consumers in Brazil.

(3)

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12. Question 1 · part h · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part h only.

The Tallinn Song Festival Grounds (TSFG) is a popular live music venue in Estonia and can hold 65,000 people. Although it is very popular there are only a few firms selling food and drink at the TSFG venue.

The lack of competition at the TSFG venue means that service is slow and queues are long. Food and drink prices are expensive and security checks mean that no food and drink can be brought in from outside the TSFG venue.

(i) With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue.

(6)

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12. Question 1 · part h · 3 marks · Working and answer

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13. Question 4 · part b · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

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4 Figure 5 shows population data for Kazakhstan in 2022.

	2022
Population	19,700,000
Number of people living in relative poverty	3,063,500

Figure 5

(a) Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working.

(2)

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13. Question 4 · part b · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

In 2023, the Kazakhstan Government privatised KTZ, its national railway company. KTZ is the largest employer in Kazakhstan and makes a profit from its operations.

(b) With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company.

(6)

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13. Question 4 · part b · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

In 2022, Kazakhstan's foreign direct investment (FDI) increased by 17.8% to reach $22.1bn. With its huge amount of natural resources such as oil and gas and agricultural lands, Kazakhstan is the richest country in central Asia.

Sector	Growth in FDI
Manufacturing	36.9%
Retail	32.6%
Transport	20.1%
Mining	11.7%

The top four countries investing in Kazakhstan in 2022 were the Netherlands, the US, Switzerland and Belgium.

According to the Deputy Minister of Foreign Affairs, the growth in FDI reflects foreign investors' confidence in Kazakhstan due to its ongoing government reforms and low costs of production.

(c) With reference to the data above and your knowledge of economics, evaluate the advantages of an increase in foreign direct investment (FDI) for a country such as Kazakhstan.

(12)

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13. Question 4 · part b · 6 marks · Working and answer

Working and answer

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

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4 Figure 3 shows the daily costs of hiring a vehicle to transport goods to a customer.

Vehicle hire cost ($ per day)	Fuel cost ($ per km)	Distance travelled (km)	Cost of insurance ($ per day)
90	0.25	65	20

Figure 3

(a) Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working.

(2)

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

MAS Supermarkets is the largest supermarket chain in Cyprus. It owns many shops across the country, selling a wide range of groceries. The firm states that its focus is on selling quality products, offering good service and low prices.

(b) With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets.

(6)

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

The largest airport in Nigeria is located in Lagos. The Nigerian Government has made several attempts to privatise the country's four main airports over recent years. This has been unsuccessful due to resistance from trade unions that have members at the airport.

However, recently there has been increased interest from a number of private investors. This is due to the growing population, increasing demand for flights to and from Lagos and a stronger industrial base in the country. This means privatisation of Lagos Airport is now more likely to happen.

Whilst under the control of the government, subsidies have been used to pay some of the costs to operate the airport, as well as to improve safety and airport facilities.

(c) With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the privatisation of Lagos Airport.

(12)

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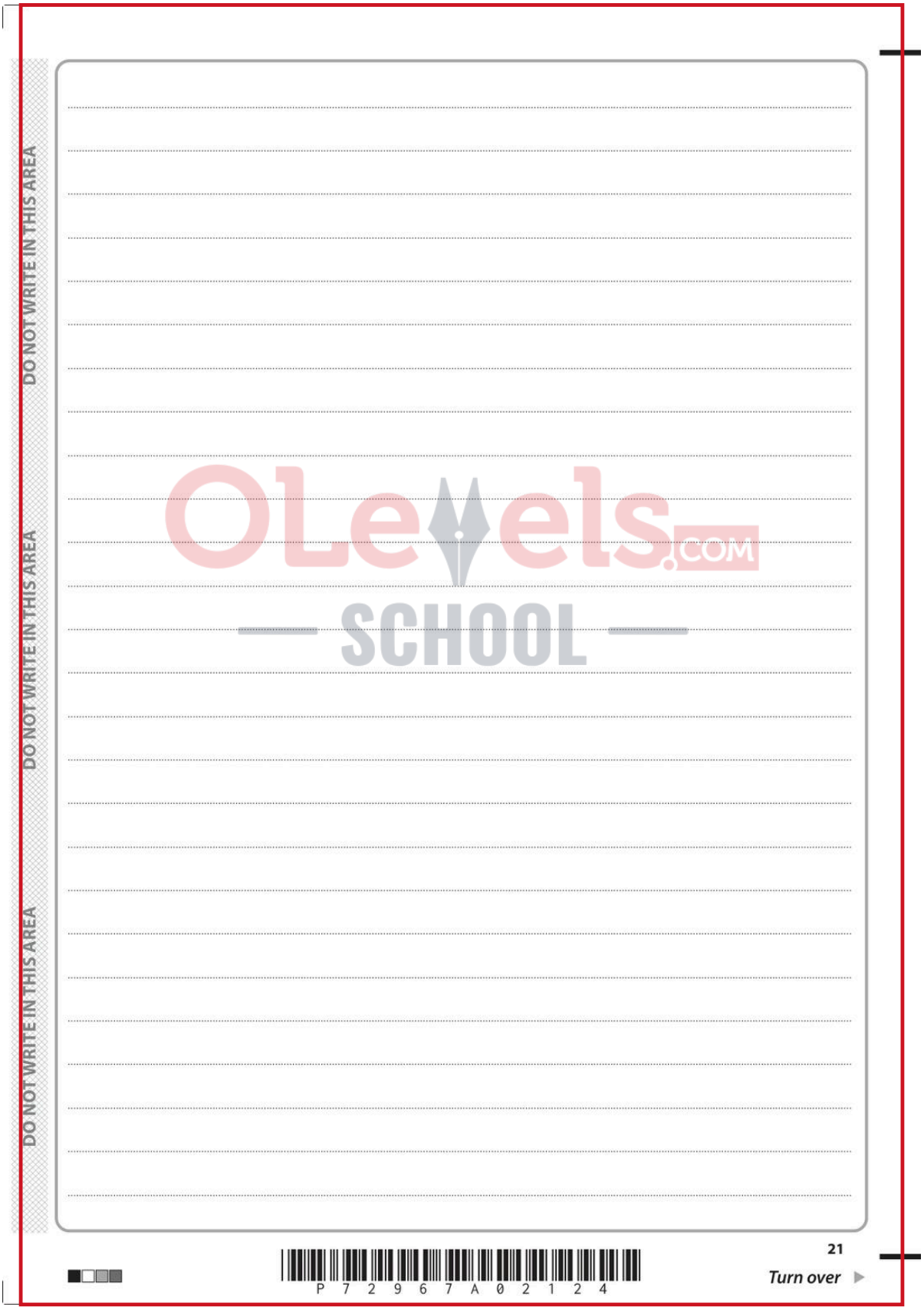
14. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.



14. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

14. Question 4 · part c · 12 marks · Working and answer

Working and answer

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15. Question 1 · part d · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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15. Question 1 · part d · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

15. Question 1 · part d · 2 marks · Working and answer

Working and answer

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16. Question 2 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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16. Question 2 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Figure 3 shows selected financial data of a firm producing calculators.

	$ per calculator
Selling price	$12.50
Raw materials	$3.25
Labour	$4.58

Figure 3

(c) Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working.

(2)

(d) What is meant by the term patent?

(2)

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16. Question 2 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(e) Describe **one** advantage to a firm of being privatised.

(2)

Many cities in the US have increased the number of traffic-light cameras in order to catch motorists if they drive through a red (stop) light.

(f) Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light.

(3)

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16. Question 2 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 2 · part f · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

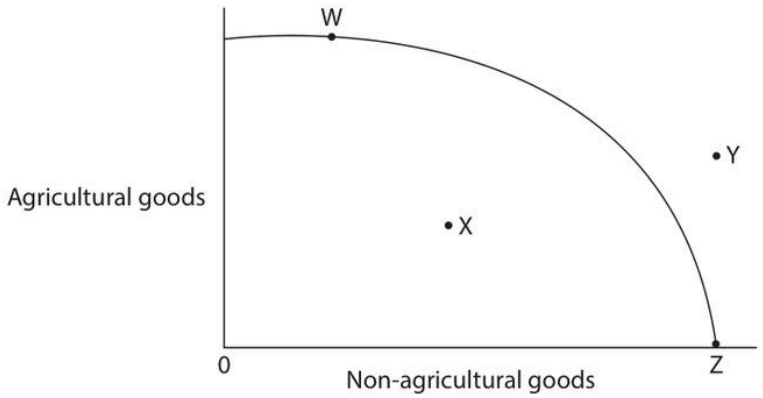

Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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17. Question 2 · part f · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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P 7 2 1 3 2 A 0 8 2 4

17. Question 2 · part f · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

In 2023, the President of Argentina announced plans to privatise the state-owned broadcaster, Radio Nacional.

(f) Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina.

(3)

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17. Question 2 · part f · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

The Ghana Mine Workers' Union (GMWU) has been supporting workers since 1944 and currently has over 16,000 members. It has recently been able to negotiate an increase in the monthly minimum wage to $500 for mine workers. However, it is still in talks to protect jobs after a reduction in demand for products from the mines.

Its 2023 conference was attended by over 200 members of the union. The GMWU announced its focus was to promote health and safety, saying that continued efforts were needed in an ever-changing working environment.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing pay and improving working conditions for their members.

(9)

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17. Question 2 · part f · 3 marks · Working and answer

Working and answer

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18. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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18. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In February 2024, North Tyneside Council in the UK said it will privatise the provision of school meals. Trade unions are concerned that this will affect pay and working conditions for the existing employees who currently provide the meals at schools.

(e) Explain **one** disadvantage of privatising the provision of school meals in North Tyneside.

(3)

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18. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

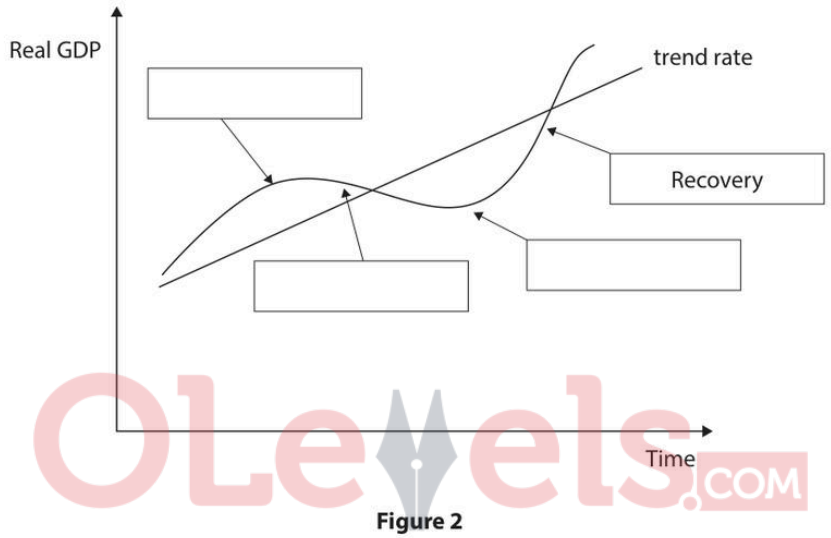

Figure 2

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18. Question 2 · part e · 3 marks · Working and answer

Working and answer

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19. Question 1 · part d · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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19. Question 1 · part d · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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19. Question 1 · part d · 2 marks · Working and answer

Working and answer

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Practice workbook · Taxes, subsidies and parks to protect the environment

Price-based intervention (taxes on polluting goods or activities, subsidies for clean or beneficial options) and government provision of parks, used to cut negative or encourage positive externalities and protect the environment; choosing an unspecified intervention.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-17

1. Question 2 · part g · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part g only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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1. Question 2 · part g · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part g only.

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In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

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Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

1. Question 2 · part g · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part g only.

In 2019, Germany was considering increasing the tax on meat to protect the environment and improve animal welfare. Currently meat in Germany has a reduced tax rate of 7%. Some political groups are arguing that this should increase to the standard 19%. According to United Nations research, methane from animals accounts for 14.5% of greenhouse gas emissions – more than the direct emissions from transport.

(Source adapted from: https://www.independent.co.uk/environment/german-meat-tax-environment-animal-welfare-a9045271.html)

(g) With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany.

(9)

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1. Question 2 · part g · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part g only.

1. Question 2 · part g · 9 marks · Working and answer

Working and answer

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2. Question 2 · part g · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit.

(1)

(d) What is meant by the term absolute poverty?

(2)

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2. Question 2 · part g · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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In December 2017 the Thai baht appreciated to its highest value in 2 years against the US dollar. The Thai baht is predicted to continue its gradual appreciation in 2018.

(e) Explain **one** disadvantage of an appreciating currency for an economy such as Thailand.

(3)

President Xi Jinping of China has made environmental protection a priority. This is due to rising public concern over widespread environmental damage caused by years of uncontrolled economic growth.

(f) Explain **one** possible negative effect on the environment caused by the economic growth of a country such as China.

(3)

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P 6 0 7 5 0 A 0 7 2 0

2. Question 2 · part g · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

A new UK report identified the urgent need to reduce pollution from vehicles and provide more open spaces and parks.

Researchers looked at the impact on health when participants walked for two hours on London's busy Oxford Street. This was then compared to those walking in the nearby large open space of Hyde Park.

The results showed that people walking in the park performed better. The air pollution from vehicle fumes largely removed the health benefit from the exercise in Oxford Street. The report suggests that people should avoid walking in busy streets and should instead walk in parks or open spaces.

(Source: adapted from http://edition.cnn.com/2017/12/05/health/exercise-polluted-urban-streets-intl/index.html)

(g) With reference to the data above and your knowledge of economics, assess whether the government should provide more parks and open spaces.

(9)

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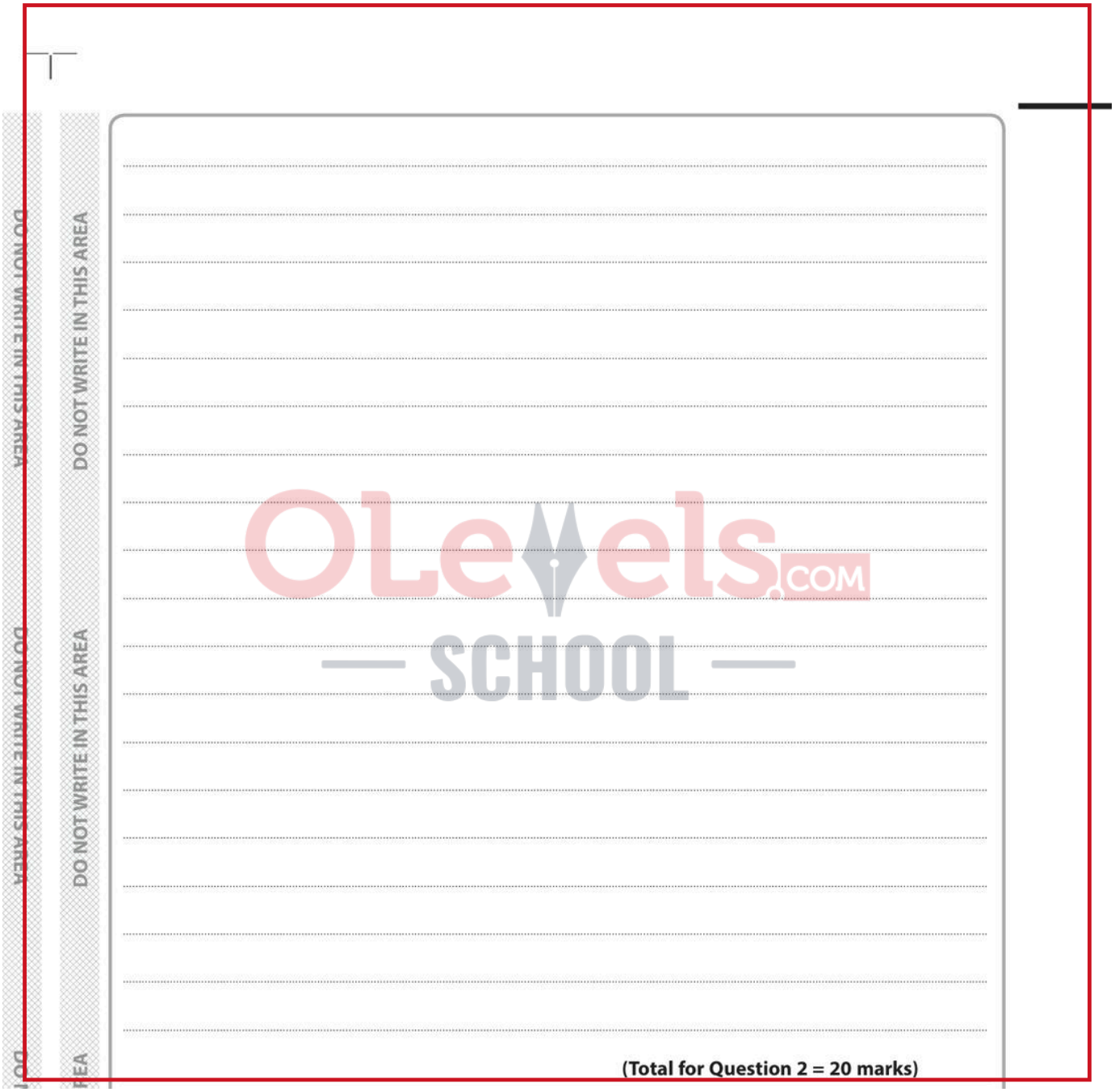
2. Question 2 · part g · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.



2. Question 2 · part g · 9 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

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3. Question 3 · part c · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

(d) Analyse the possible impact of unemployment on an economy.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 2 · part c · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part c only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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4. Question 2 · part c · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part c only.

(d) What is meant by the term relative poverty?

(2)

In Manchester, UK, over 350,000 motorists have been issued with parking fines of £30. This gave the local government of Manchester additional revenue of £10.4m in one year.

(e) Explain **one** advantage for a local government, such as Manchester, of issuing parking fines.

(3)

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4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 2 · part e · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

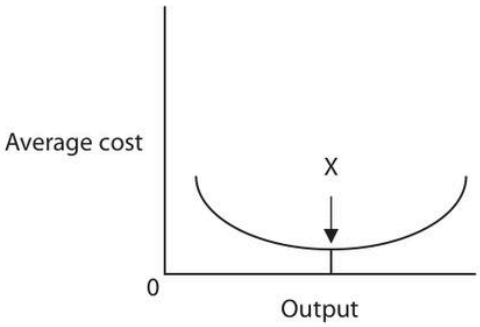

Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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5. Question 2 · part e · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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5. Question 2 · part e · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

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(e) Describe **one** government policy to deal with negative externalities.

(2)

Irrigation of Scottish farmland was increased during the summer of 2018.

(f) Explain **one** way an increase in irrigation may have affected the productivity of Scottish farmers during the summer of 2018.

(3)

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5. Question 2 · part e · 2 marks · Working and answer

Working and answer

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6. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

4 Figure 3 shows the government revenue and expenditure (€m) for Estonia in 2018.

2018	€m
Government revenue	8 119 601
Government expenditure	8 197 243
Fiscal surplus/deficit	

(Source adapted from: https://www.stat.ee/53721)

Figure 3

(a) Calculate in €m the **fiscal surplus/deficit** for Estonia in 2018. You are advised to show your working.

(2)

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6. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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Estonia's annual inflation rate increased to 4.4% in October 2018.

(b) Analyse how the Estonian Government might use fiscal policy to control inflation.

(6)

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6. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

In 2019, the Estonian Government increased the subsidy for public transport by €9 m to €101m. The subsidy for bus services grew from €34.8 m to €43.3 m in 2019.

Minister of Economic Affairs and Infrastructure Kadri Simson said, "Greater support for public transport services will ensure better mobility as well as reduce cars on the road and reduce pollution of the environment. The subsidies also make movement easier for less well-off residents. Due to subsidised bus services, the number of passengers grew by 33% in one month."

The minister described local air services as one of the priorities for the Estonian Government in regional development. Air services to the major Western Estonian islands of Saaremaa and Hiiumaa have been given €5.53 m, more than double the €2.6 m subsidy they received last year.

(Source adapted from: https://news.err.ee/863306/public-transport-subsidy-to-increase-to-101-million-next-year)

(c) With reference to the data above and your knowledge of economics, evaluate the advantages of using subsidies for public transport to protect the environment for a country such as Estonia.

(12)

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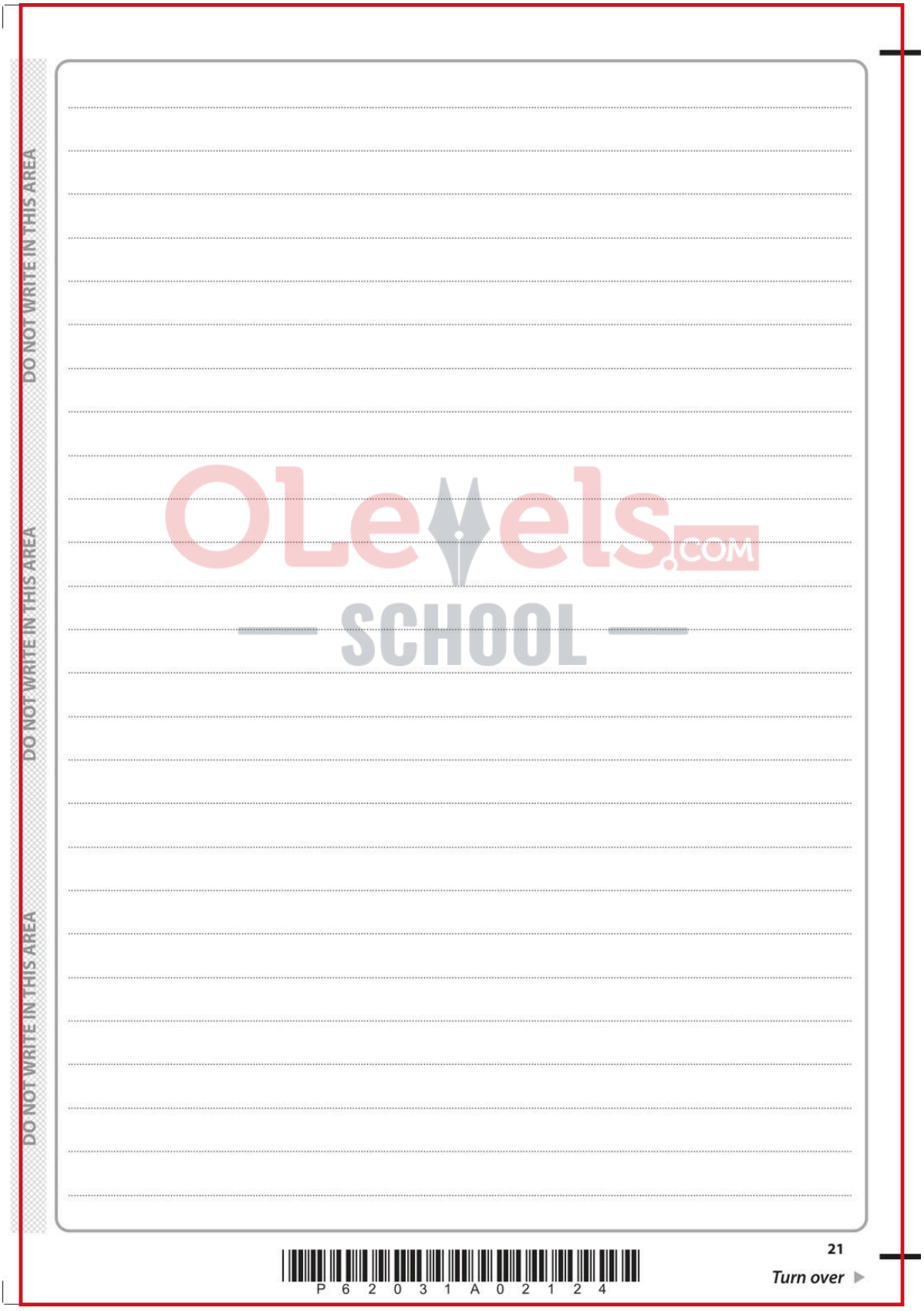
6. Question 4 · part c · 12 marks

2020 NOV · Paper 02

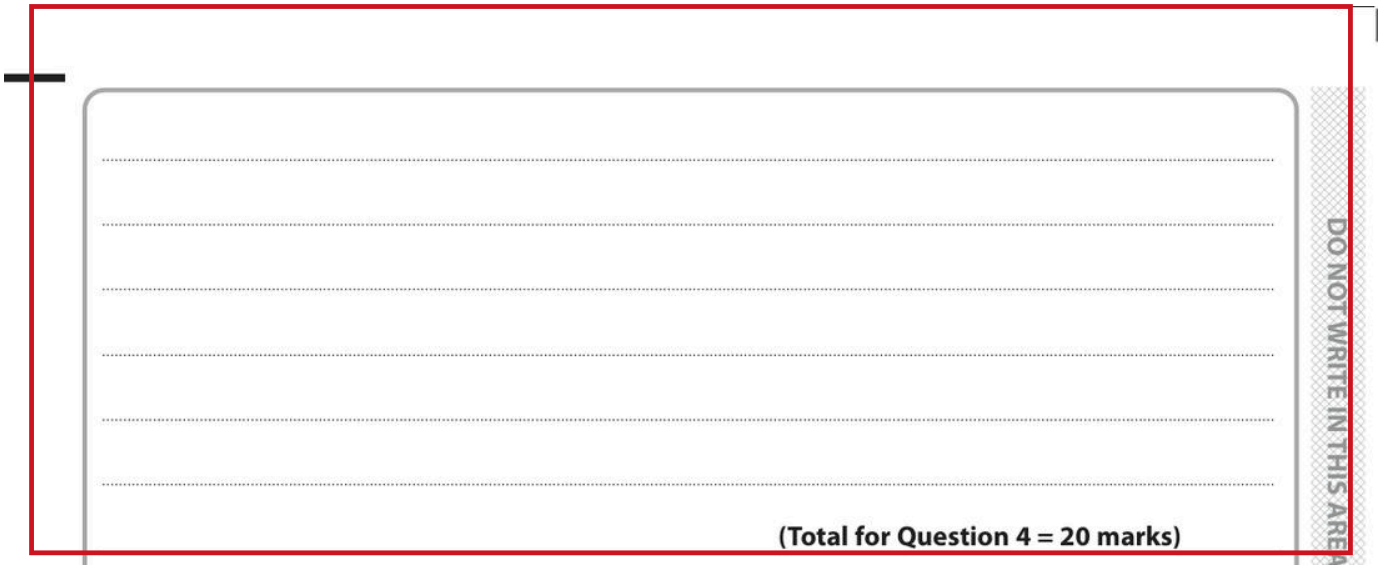
Further practice · Attempt part c only.



6. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.



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6. Question 4 · part c · 12 marks · Working and answer

Working and answer

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7. Question 1 · part g · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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7. Question 1 · part g · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

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(d) What is meant by the term dumping?

(2)

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

OLevels.com SCHOOL

7. Question 1 · part g · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

In 2019, Hungary introduced a subsidy on new cars for families with three or more children.

(f) Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

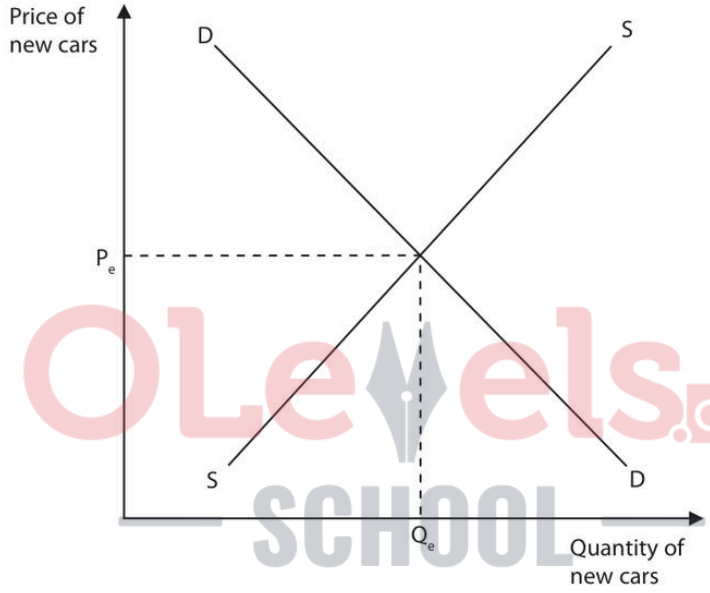

Figure 2

The UK has 13 national parks with the Lake District National Park being the largest and most popular. It had over 19.17 million visitors in 2018. Woodland covers over 12% of the national park.

(g) Explain **one** benefit to the UK Government of providing parks.

(3)

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7. Question 1 · part g · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

According to a survey from accounting firm EY, foreign direct investment (FDI) into Ireland increased by 52% in 2018.

(h) With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland.

(6)

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(Total for Question 1 = 20 marks)

7. Question 1 · part g · 3 marks · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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P 6 5 8 9 9 R A 0 1 0 2 0

8. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

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The Government of Bangladesh provides subsidies of between 2% and 4% on the export of clothing. In 2019, it introduced additional subsidies of up to 10% for the export of 10 new products including home appliances.

(c) Explain **one** advantage of using subsidies for a country such as Bangladesh.

(3)

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8. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

A UK environmental group has called for tough action to tackle air pollution, particularly from road transport. It wants the UK Government to impose higher taxation on petrol and diesel fuel for cars and trucks.

(d) With reference to the data above and your knowledge of economics, analyse the advantages of using taxation to help protect the environment in a country such as the UK.

(6)

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8. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

Just 30 years ago, Ghana was in crisis with high levels of poverty and on the edge of economic collapse. The West African nation has made a significant recovery and was predicted to be the world's fastest growing economy in 2019.

The International Monetary Fund (IMF) estimates Ghana's Gross Domestic Product (GDP) growth rate of 8.8% will be double that of emerging economies, and well ahead of world growth rates. Ghana is one of the world's largest cocoa producers. Its growth is now being maintained by a different commodity, the extraction of crude oil.

(Source adapted from: https://www.imf.org/external/datamapper/NGDP_RPCH@WEO/OEMDC/ADVEC/WEOWORLD/GHA)

(e) With reference to the data above and your knowledge of economics, assess the use of GDP as a measure of growth for a country such as Ghana.

(9)

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8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 Figure 4 shows the change in gross domestic product (GDP) per capita for Vietnam.

	2018	2019
GDP per capita US$	2 590	2 715

Figure 4

(Source adapted from: https://www.ceicdata.com/en/indicator/vietnam/gdp-per-capita)

(a) Calculate, to two decimal places, the **percentage increase in GDP per capita** between 2018 and 2019. You are advised to show your working.

(2)

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Figure 5 shows Vietnam's quarterly unemployment rate (%) 2017–2019.

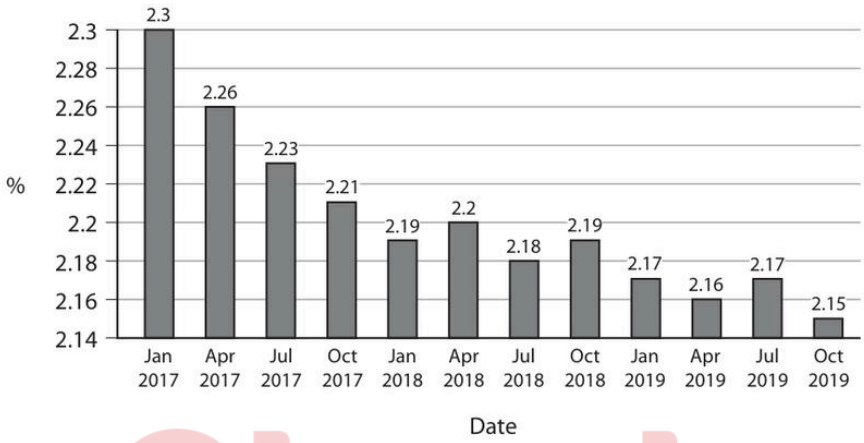

Figure 5

(Source: https://tradingeconomics.com/vietnam/unemployment-rate)

(b) With reference to the data above and your knowledge of economics, analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam.

(6)

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P 6 6 3 3 0 A 0 1 6 2 0

9. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Vietnam is struggling with high levels of air pollution. Its two biggest cities, Hanoi and Ho Chi Minh City, are now among the 15 most polluted cities in Southeast Asia. Air pollution is particularly harmful to human health causing diseases including strokes, heart disease and respiratory infections. Up to 60,000 deaths in Vietnam in 2018 were related to air pollution. On average, poor air quality reduces life expectancy by one year and costs the country about 5% of GDP per year.

Among the main causes of this pollution is transportation. Vietnam now has 3.6 million automobiles and 58 million motorbikes, mostly found in big cities. Many of these vehicles are old, with limited emission control technology. They cause daily traffic jams and are responsible for a large amount of air pollution.

The Vietnamese Government is considering whether to increase the environmental tax on petrol and diesel by 33%. The proposed tax will generate $2.4 bn each year, an annual increase of $650.2 m from current tax revenues on fuels.

(Source adapted from: https://thediplomat.com/2020/03/vietnams-big-air-pollution-challenge/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of increasing taxation on petrol and diesel to protect the environment in a country such as Vietnam. (12)

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18

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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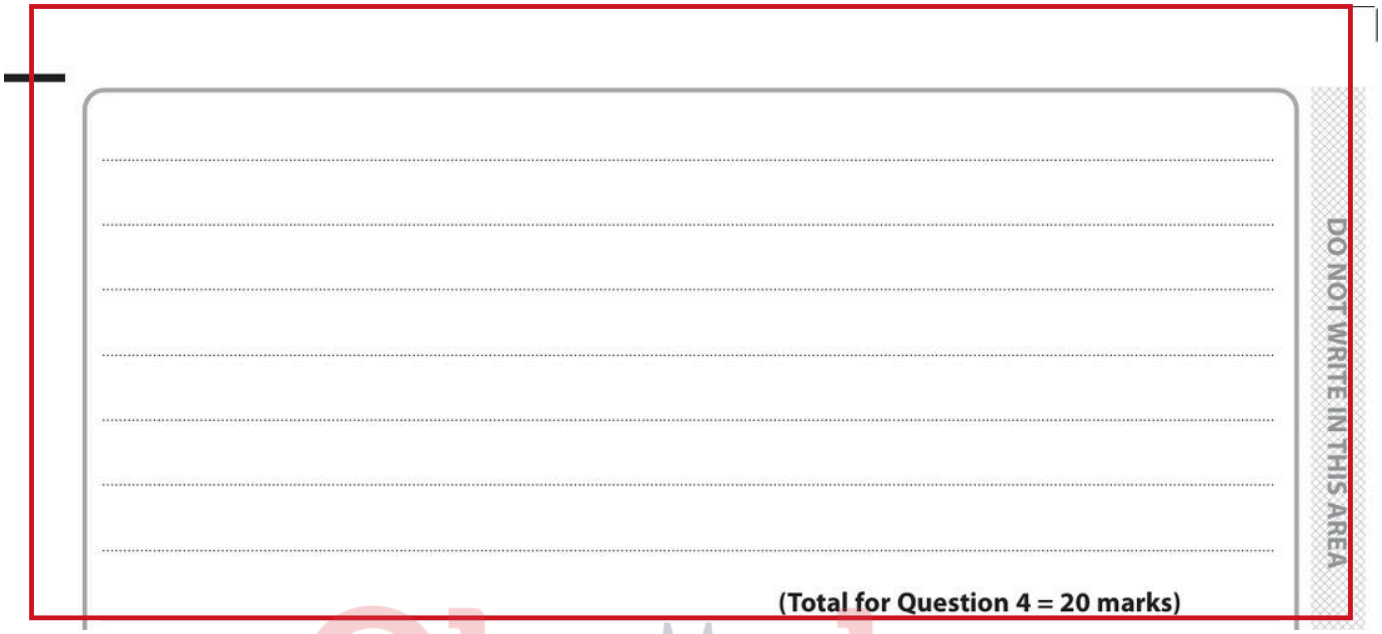
9. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



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9. Question 4 · part c · 12 marks · Working and answer

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10. Question 3 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

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3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

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10. Question 3 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

The UK Government gives subsidies to firms in the renewable energy market that provide wind and solar energy.

(c) Explain **one** reason why the UK Government gives subsidies to firms in the renewable energy market.

(3)

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10. Question 3 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

Nauru is a tiny island country in Micronesia, northeast of Australia. It has a population of 10,824. In 2019, Nauru had a fiscal surplus of 16.1% of GDP.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of having a fiscal surplus for a country such as Nauru.

(6)

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10. Question 3 · part c · 3 marks · Working and answer

Working and answer

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11. Question 2 · part e · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part e only.

2

Chart to show market share held by firms within a market

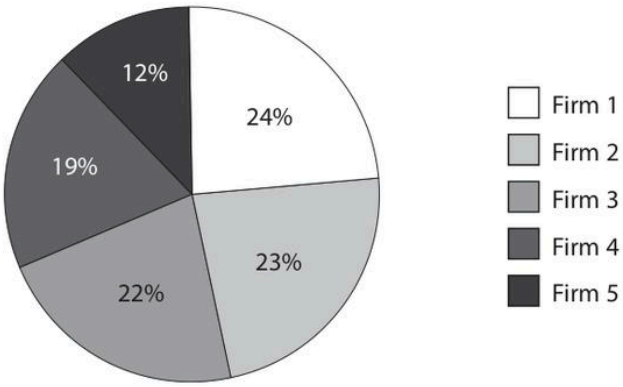

Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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11. Question 2 · part e · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part e only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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8

P 7 1 5 5 5 A 0 8 2 4

11. Question 2 · part e · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part e only.

Heather runs a successful restaurant in a small town in Portugal. When her friend asked whether she was going to expand by opening another restaurant, Heather said she was not.

(f) Explain **one** reason why Heather may have decided to keep her business small.

(3)

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11. Question 2 · part e · 2 marks · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

4 Figure 3 shows the fiscal deficit (€bn) for Spain in 2019 and 2020.

	2019	2020
Fiscal deficit	–€35.64bn	–€123.07bn

Figure 3

(Source: https://www.statista.com/statistics/270401/budget-balance-in-spain/)

(a) Calculate, to two decimal places, **the percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working.

(2)

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12. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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One of Spain's main macroeconomic objectives is to reduce its fiscal deficit.

(b) With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain.

(6)

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12. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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20

P 7 4 0 5 8 R A 0 2 0 2 4

12. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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Wind power became Spain's main energy source in 2021. Renewable energy sources such as wind and solar contributed to almost 47% of the country's energy, compared to 30% in 2011. This has helped to reduce Spain's use of fossil fuels.

"Wind power is going to dominate the Spanish electricity supply for a long time. Spain has it all: we have more wind and more sun than practically any other European country," says Francisco Valverde, an energy consultant.

The Spanish Government is giving €6.9bn in subsidies for renewable energy between 2022 and 2023. These subsidies will help create over 280,000 jobs in the Spanish economy. Over 60% of solar and 90% of wind energy equipment is manufactured in Spain.

(Source: https://english.elpais.com/economy-and-business/2021-12-14/wind-power-becomes-spains-leading-energy-source-for-2021.html)

(c) With reference to the data above and your knowledge of economics, evaluate how effective subsidies are in protecting the environment in a country such as Spain.

(12)

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12. Question 4 · part c · 12 marks

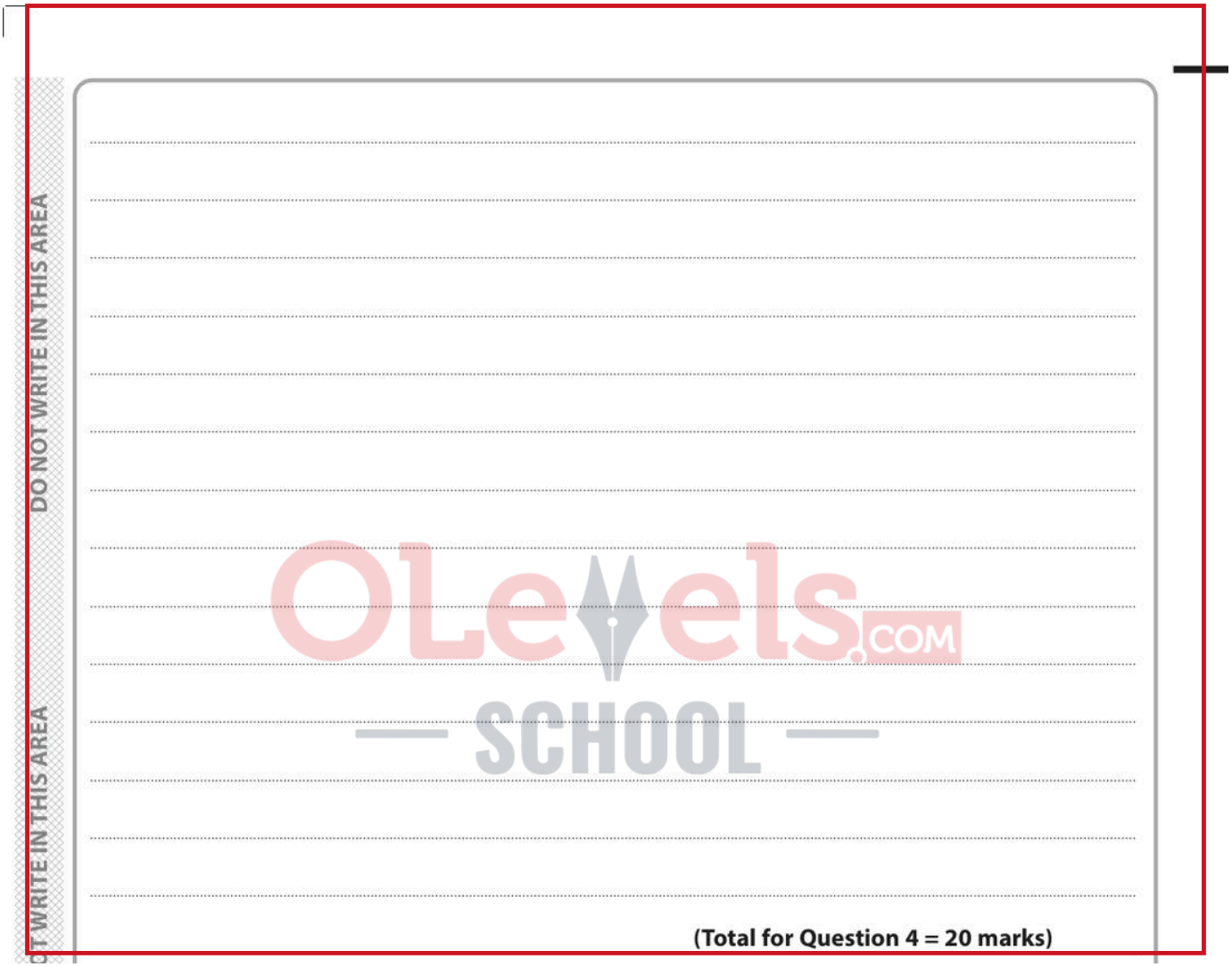
2023 JUN · Paper 02

Further practice · Attempt part c only.

12. Question 4 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.



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12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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13. Question 2 · part g · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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P 7 3 4 9 8 A 0 8 2 4

13. Question 2 · part g · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

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Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

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(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

13. Question 2 · part g · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

In 2028, the lowest age at which workers can receive a private pension in the UK will rise from 55 to 57. This means that the age of retirement will increase for many people.

(f) Explain **one** advantage for firms of an increase in the retirement age.

(3)

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13. Question 2 · part g · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

It is estimated that about 24 million tourists visit Venice, Italy each year. This high number of tourists means that the city is very overcrowded.

In January 2023, a new tourist tax was introduced on people visiting Venice. Tourists need to pay between €3 and €10 for each day they are in Venice. The higher €10 rate is paid at peak times, reducing to €3 during quieter periods.

(Source: adapted from https://veneziaautentica.com/venice-tourist-tax/)

(g) With reference to the data above and your knowledge of economics, assess the likely effectiveness of the tourist tax in dealing with negative externalities, such as overcrowding.

(9)

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13. Question 2 · part g · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

13. Question 2 · part g · 9 marks · Working and answer

Working and answer

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14. Question 3 · part b · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part b only.

3 (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

(1)

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

(1)

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

(3)

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14. Question 3 · part b · 1 mark · Working and answer

Working and answer

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15. Question 1 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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P 7 2 9 6 8 R A 0 2 2 4

15. Question 1 · part b · 1 mark · Working and answer

Working and answer

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16. Question 4 · part c · 12 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 Figure 5 shows the adult entry fee into the Corcovado National Park in Costa Rica and the current exchange rate between the British pound (£) and the Costa Rican colón (CRC).

Entry fee for 1 adult	1 600 CRC
Exchange rate: £ to CRC	£1 = 672 CRC

Figure 5

(a) Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.

(2)

OLevels.com SCHOOL

16. Question 4 · part c · 12 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Costa Rica is a developing country that relies on the export of agricultural commodities such as coffee, bananas, pineapples and vegetables. In 2022, exports from Costa Rica to the UK were valued at £516m. Vegetables and fruit accounted for 73.4% of all goods exported to the UK from Costa Rica.

(b) With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country.

(6)

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16. Question 4 · part c · 12 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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16. Question 4 · part c · 12 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Costa Rica has 5% of the world's wildlife species but it occupies only 0.03% of the earth's surface. Costa Rica takes pride in having 30 national parks with more than 25% of the territory of Costa Rica marked for conservation.

National parks have economic value to both national and local economies. Costa Rica takes advantage of the growing demand by tourists visiting these national parks by charging an entry fee. National Parks contribute almost $2bn to the Costa Rican economy. 122,465 tourists visited national parks in Costa Rica in the last two weeks of 2021.

Local economies near the national parks benefit from the creation of jobs and the increased expenditure by tourists on hotels, local shops, guides, restaurants and tours.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of the government providing national parks to protect the environment in a country such as Costa Rica.

(12)

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16. Question 4 · part c · 12 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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16. Question 4 · part c · 12 marks

2024 JUN · Paper 02 (regional R)

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(Total for Question 4 = 20 marks)

16. Question 4 · part c · 12 marks · Working and answer

Working and answer

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) A free rider can be defined as an individual who does which **one** of the following?

(1)

- ☒ **A** Enjoys the benefit of a good after paying for it
- ☒ **B** Enjoys the benefit of a good but does not pay for it
- ☒ **C** Gives a good away after paying for it
- ☒ **D** Neither uses a good nor pays for it

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** House builder
- ☒ **B** Cattle farmer
- ☒ **C** Hotel receptionist
- ☒ **D** Forestry worker

(c) Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

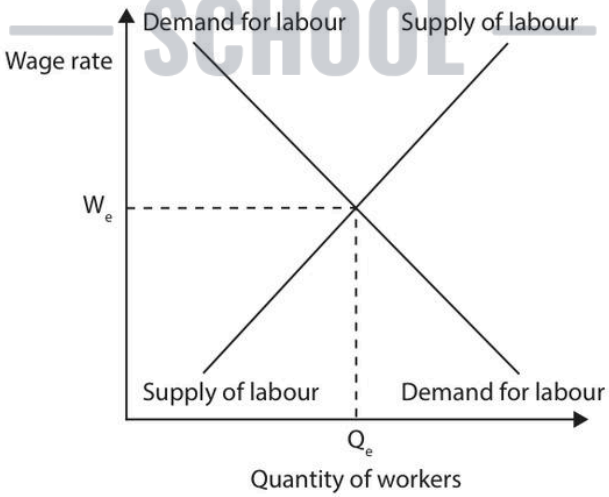

Figure 3

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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At the end of 2023, Amazon Prime ended its streaming service of live tennis coverage in the UK after a period of five years. Sky took over the service at the start of 2024 but at a much higher price to customers.

Subscribing to Tennis TV is the only alternative to Sky for customers in the UK wanting to stream the majority of live tennis. On 28th December 2023, Tennis TV increased the price of its subscription.

(d) With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service.

(6)

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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Sri Lanka Railways (SLR) has made a loss of Rs 331bn over the last 10 years.
The Sri Lankan Government provides a subsidy so that ticket prices can be reduced. This is to encourage passengers to use trains rather than further increase congestion on the roads.

A spokesperson for SLR said that it needs to upgrade existing railway tracks to make services more comfortable for passengers as well as increase the number of trains to reduce overcrowding. This will require a larger subsidy.

(e) With reference to the data above and your knowledge of economics, assess the effectiveness of subsidies in dealing with externalities, such as road congestion.

(9)

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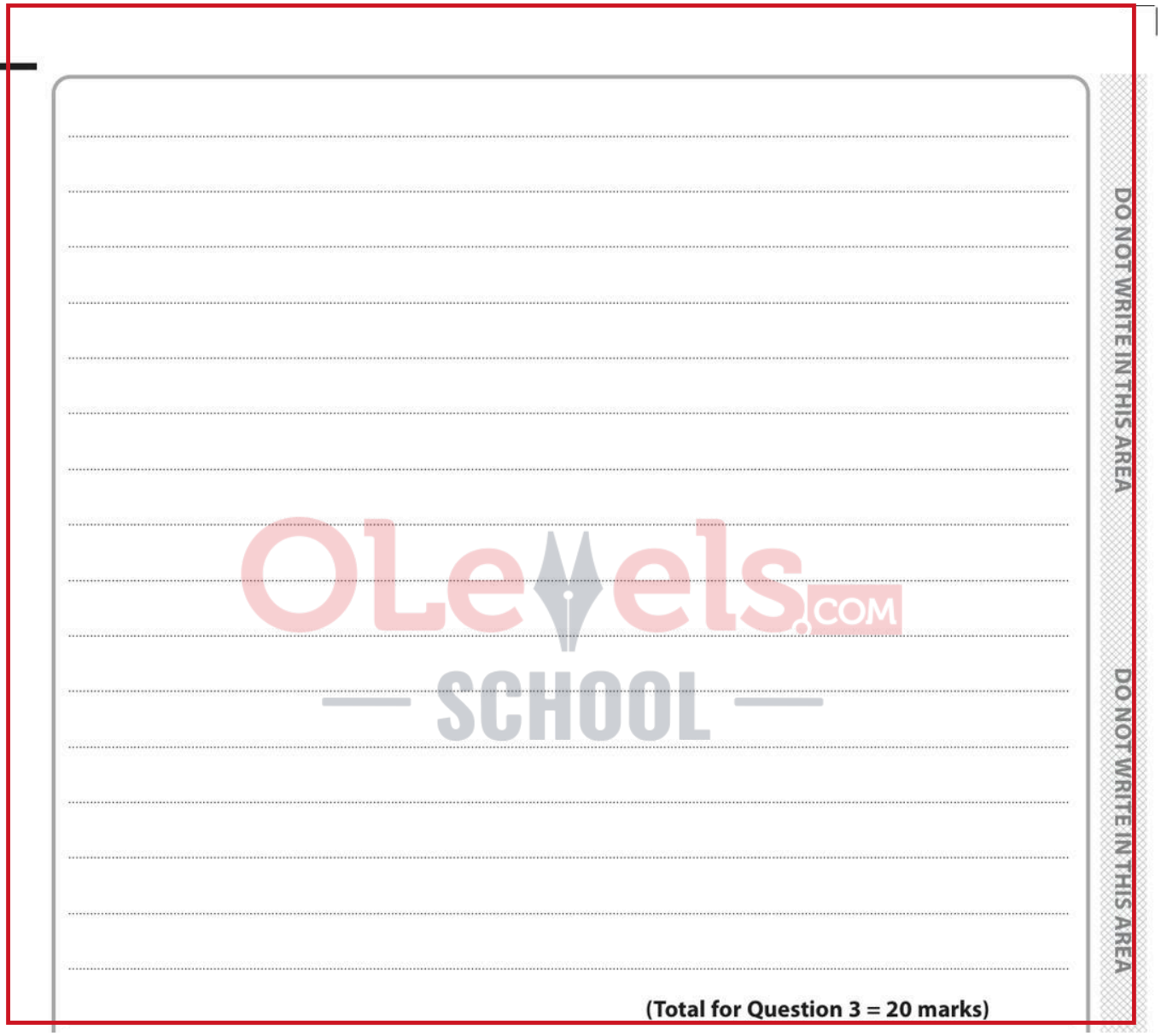
17. Question 3 · part e · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.



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17. Question 3 · part e · 9 marks · Working and answer

Working and answer

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18. Question 2 · part g · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

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(d) What is meant by the term direct tax?

(2)

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18. Question 2 · part g · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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In February 2024, North Tyneside Council in the UK said it will privatise the provision of school meals. Trade unions are concerned that this will affect pay and working conditions for the existing employees who currently provide the meals at schools.

(e) Explain **one** disadvantage of privatising the provision of school meals in North Tyneside.

(3)

OLevels.COM SCHOOL

18. Question 2 · part g · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

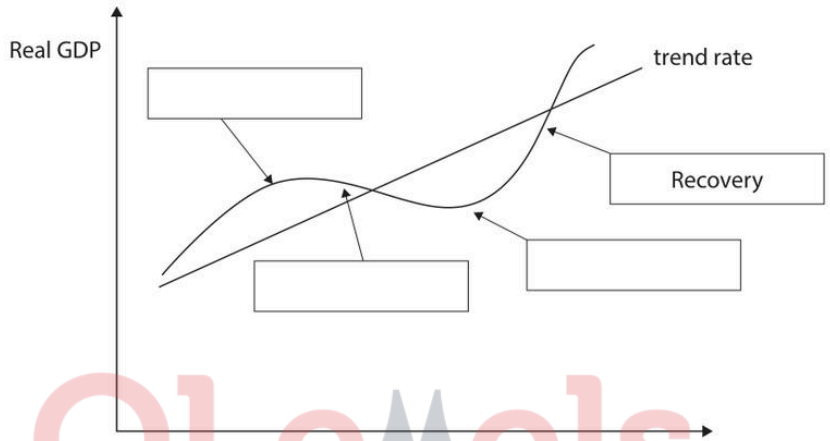

Figure 2

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18. Question 2 · part g · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Bboxx, a firm that makes solar-powered stoves, received a $17m subsidy to reduce the price of its products. This subsidy will be used to encourage the use of solar-powered stoves in Rwanda where many households currently use firewood or coal to cook their meals.

More than 500,000 households in Rwanda will benefit from this subsidy programme. They will no longer have to burn firewood and coal, which create harmful and dangerous pollutants.

The subsidy programme is designed to reduce the percentage of households that use firewood for cooking from 80% in 2017 to 42% by 2024. This will reduce carbon emissions in Rwanda.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda.

(9)

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18. Question 2 · part g · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

18. Question 2 · part g · 9 marks · Working and answer

Working and answer

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19. Question 2 · part e · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

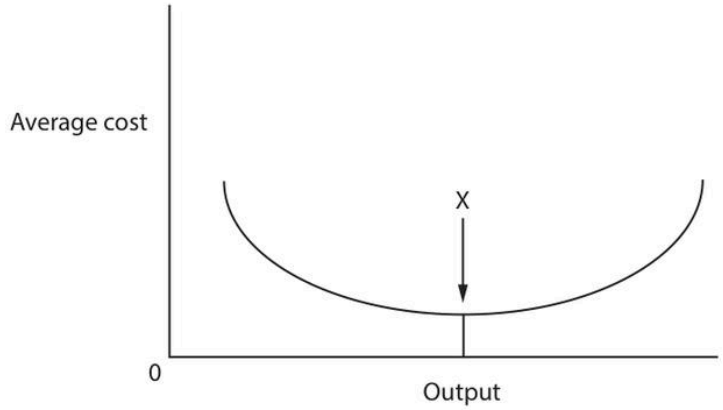

Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

19. Question 2 · part e · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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P 7 8 9 5 6 A 0 8 2 4

19. Question 2 · part e · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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(e) Describe **one** government policy to encourage positive externalities.

(2)

In 2024, it was recommended that additional funding should be provided for the drainage of farmland in India.

(f) Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.

(3)

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19. Question 2 · part e · 2 marks · Working and answer

Working and answer

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Practice workbook · Regulation, fines and pollution permits

Rules and legal limits, fines and tradable pollution permits used to reduce negative externalities and protect the environment (and to deter harmful behaviour such as speeding or illegal parking), with their advantages and disadvantages.

23 question parts: 1 worked-example retry and 22 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-21

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

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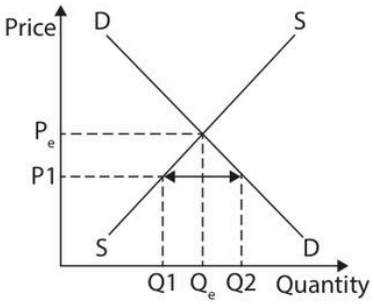
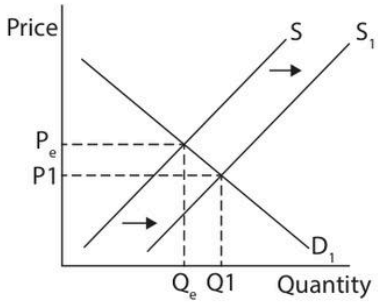
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

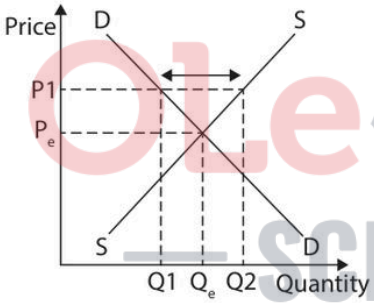
☒ **A**



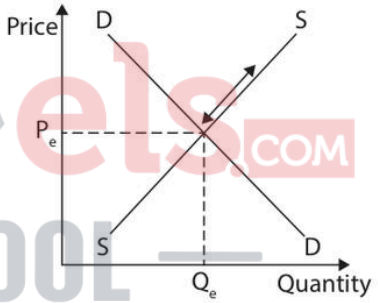
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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P 7 2 9 6 7 A 0 8 2 4

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

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Hanan is the owner of a shop and wants to maximise profits. However, Mostafa is the manager of the shop and wants to offer customers a 10% discount for making purchases in large quantities.

(f) Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit.

(3)

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1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

A ban on single-use plastic bags has been in place in Kenya for more than five years. It has led to a cleaner environment, as plastic bags were causing visual pollution and endangering the lives of livestock that consumed them. However, the ban has not been effective in totally removing the problem.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution.

(9)

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1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

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(Total for Question 2 = 20 marks)

1. Question 2 · part g · 9 marks · Working and answer

Working and answer

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2. Question 2 · part h · 9 marks

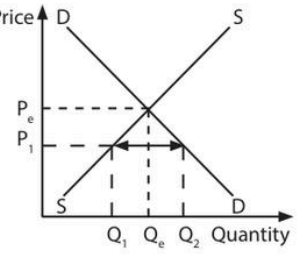
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

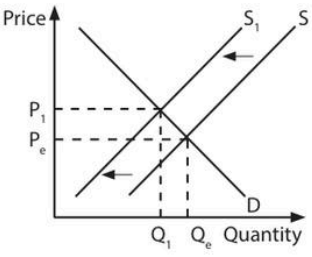
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

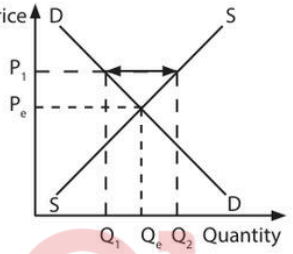
☒ **A**



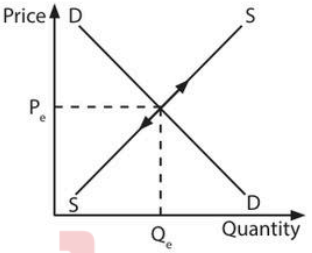
☒ **B**



☒ **C**



☒ **D**



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P 5 8 2 7 6 A 0 8 2 8

2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

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2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

Sea cucumbers are marine animals that have an important role in keeping the coral reef ecosystem healthy. US firm, Orient Seafood Production (OSP), has been fined $1.5m for over-harvesting sea cucumbers. Harvesting sea cucumbers is legal in the US. There is a limit on the quantity allowed to be harvested due to their positive impact on the coral reefs.

OSP was accused of under-reporting harvests by 113,400 kg during a two-year period. Before he paid the fine, the firm's owner had made high profits from sales to China, where there is an increasing demand.

(Source adapted from: https://www.independent.co.uk/news/world/americas/sea-cucumbers-prison-over-harvesting-orient-seafood-production-hoon-namkoong-washington-a8562046.html)

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government fines when dealing with externalities such as over-harvesting sea cucumbers.

(9)

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2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

2. Question 2 · part h · 9 marks · Working and answer

Working and answer

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

The demand for the US$ changed following the publication in 2019 of the latest US growth rate report.

(d) Analyse the impact of currency speculators on the supply and demand of the currency for a country such as the US.

(6)

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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P 5 8 3 8 5 A 0 1 6 2 4

3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In Western Australia, single-use plastic bags were banned in July 2018 but fines were not enforced. However, from 2019, under new regulations, any shops providing customers with the banned plastic bags may face prosecution, with fines of up to AUS$5 000. The government is relying on shoppers to report retailers that break the rules.

The Environment Minister Stephen Dawson said the ban is well supported by the community. He said "Taking plastic bags out of litter is a significant step towards protecting our environment".

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of regulation to protect the environment in a country such as Australia.

(9)

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

3. Question 3 · part e · 9 marks · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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P 5 8 3 8 4 A 0 8 2 4

4. Question 2 · part e · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

(d) What is meant by the term relative poverty?

(2)

In Manchester, UK, over 350,000 motorists have been issued with parking fines of £30. This gave the local government of Manchester additional revenue of £10.4m in one year.

(e) Explain **one** advantage for a local government, such as Manchester, of issuing parking fines.

(3)

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4. Question 2 · part e · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

A recent report estimates 23% of gross domestic product (GDP) in Greece is from revenue that goes unrecorded by the government.

(f) Explain **one** possible reason why a large percentage of Greece's GDP might be unrecorded.

(3)

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4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

2

Market share by firm for a market in Azerbaijan

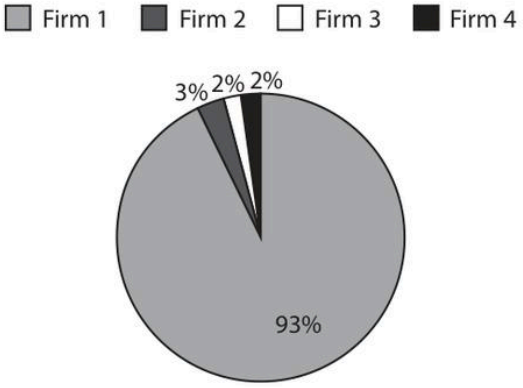

Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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10

P 6 2 0 3 0 A 0 1 0 2 4

5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

Some countries, such as Cuba, rely mostly on public sector ownership to provide goods and services. Others, such as Japan rely more on private sector ownership. In Japan, health, education and street lighting are often provided by public sector ownership but Japan also produces a high quantity of electronic goods used for entertainment.

(h) With reference to the data above and your knowledge of economics, assess how effective public sector ownership and private sector ownership are likely to be in solving the economic problem.

(9)

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5. Question 2 · part g · 3 marks · Working and answer

Working and answer

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6. Question 2 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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P 6 5 8 9 6 A 0 6 2 4

6. Question 2 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

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6. Question 2 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

(f) Describe **one** benefit to consumers of privatisation.

(2)

Microsoft has a patent on a number of its technological designs.

(g) Explain **one** reason why Microsoft might have patents on its designs.

(3)

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6. Question 2 · part e · 1 mark · Working and answer

Working and answer

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7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

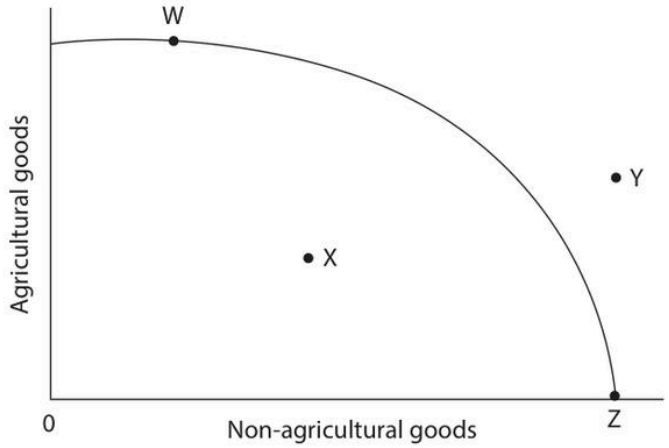

Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

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A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

OLevels.com SCHOOL

(f) Describe **one** reason why a computer can be a factor of production.

(2)

P 6 5 8 9 7 R A 0 7 2 0

7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

Abi owns a small cafe. It is often very busy and customers may have to wait for a table. Abi is considering whether to move to a larger premises. A larger property has become available but it would cost almost double the current rent.

(g) Explain **one** factor that could affect whether Abi is able to expand her business.

(3)

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7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

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High pollution levels in the busy Indonesian city of Jakarta are mainly due to the large volume of traffic. There are over 17 million vehicles registered in the area, each emitting fumes into the environment. The number of vehicles is increasing.

In 2007, government regulations were introduced to reduce the volume of traffic in the city. For example, every Sunday morning, over 8 km of Jakarta's roads are traffic-free as vehicles are banned. In 2016, it was reported that air quality had improved by 65% compared to the levels before the regulations were introduced.

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulations when dealing with externalities such as air pollution in Jakarta.

(9)

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7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

7. Question 2 · part h · 9 marks · Working and answer

Working and answer

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8. Question 3 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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8. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

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(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects on the market for apples following a decrease in the price of bananas. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

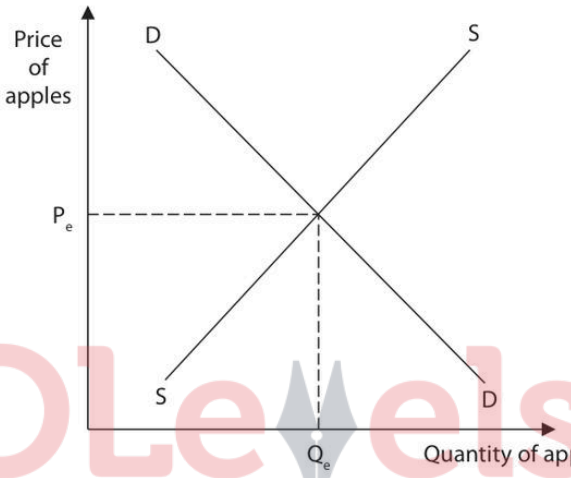

Figure 1

Warehouse employees at a small firm in Malta specialise in one task, such as sealing boxes, for orders that are sent to consumers.

(h) Explain **one** disadvantage of the division of labour for the warehouse employees.

(3)

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P 6 6 3 2 7 A 0 4 2 4

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

Regulation was introduced by the German Government in an attempt to reduce the number of plastic bottles being thrown away. A fee of €0.25 is added to the price of a product but is refunded when the bottle is returned. The new scheme is cheaper for the government and 98.5% of the bottles are now returned.

(i) With reference to the data above and your knowledge of economics, analyse the likely impact on externalities of this type of regulation.

(6)

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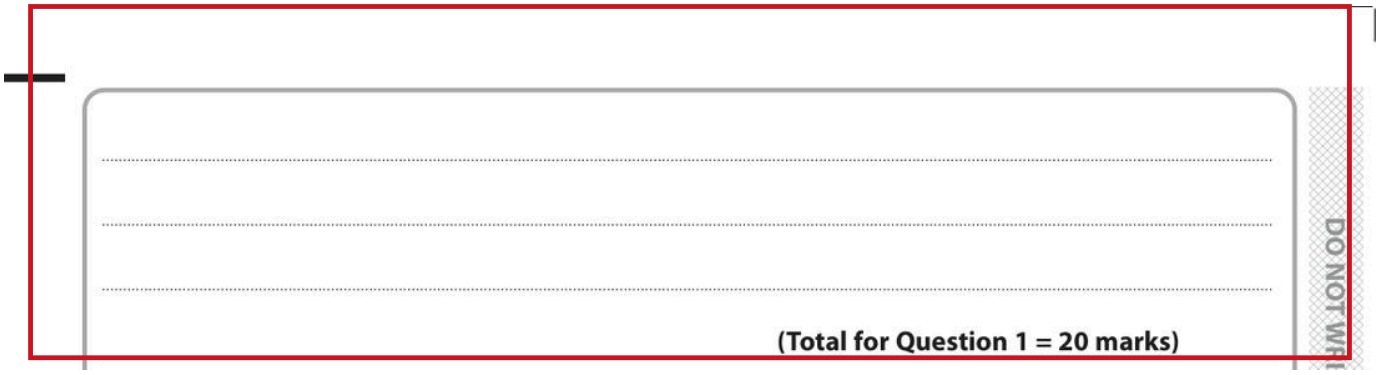
9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.



Working and answer

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

The UK Government gives subsidies to firms in the renewable energy market that provide wind and solar energy.

(c) Explain **one** reason why the UK Government gives subsidies to firms in the renewable energy market.

(3)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Nauru is a tiny island country in Micronesia, northeast of Australia. It has a population of 10,824. In 2019, Nauru had a fiscal surplus of 16.1% of GDP.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of having a fiscal surplus for a country such as Nauru.

(6)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

More than 125 million tonnes of poisonous gases pollute the US state of Colorado's air every year. US Government records show that 46 million tonnes, or 36% of the total air pollution, comes from 119 large industrial polluters. These include 35 power stations. More than half the electricity in Colorado is still generated from burning coal despite 10 years of government efforts to encourage producers to switch to clean energy.

(e) With reference to the data above and your knowledge of economics, assess the effectiveness of pollution permits in protecting the environment for a country such as the US.

(9)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 2 · part d · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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11. Question 2 · part d · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

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11. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

China announced that in 2021 it would increase its import quota for crude oil by 20%.

(f) Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

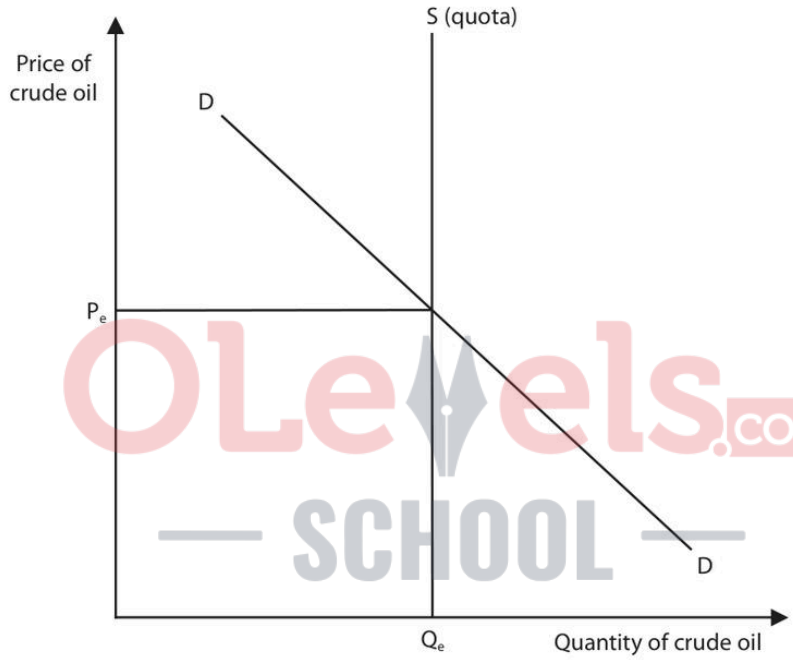

Figure 2

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P 7 1 5 5 8 A 0 1 0 2 4

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2021, Thames Water was fined £2.3m after being found guilty of polluting a stream in 2016. The pollution killed more than 1,000 fish.

The total amount in fines paid by Thames Water since 2017 was £24.4m for 9 separate cases of water pollution. In 2020, Thames Water made an operating profit of £513.4m.

(Source: https://www.gov.uk/government/news/thames-water-fined-23-million-for-foreseeable-pollution)

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK.

(9)

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12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

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(Total for Question 2 = 20 marks)

12. Question 2 · part g · 9 marks · Working and answer

Working and answer

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13. Question 2 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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13. Question 2 · part b · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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14. Question 2 · part b · 1 mark · Working and answer

Working and answer

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15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

4 A sports arena in Guatemala holds a maximum of 20,000 people for each event. The quantity of tickets demanded for the most recent events is shown below.

Event	Quantity of tickets demanded
A	22,200
B	21,000
C	20,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working.

(2)

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P 7 4 0 5 6 R A 0 1 8 2 4

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

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Zambia has a defence force that includes both an army and an air force. The Zambian Government is responsible for the provision of this defence force.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force.

(6)

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15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

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15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

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Polluted air is said to cause over 1,000 deaths each year in Greater Manchester, UK. To reduce the problem, an 800 km^2 'Clean Air Zone' (CAZ) has been proposed, where drivers of certain vehicles would have to pay between £7.50 and £60.00 each day they drive on roads in the region.

All lorries, buses, taxis and vans that do not meet the emission standards will be affected. It is hoped the tax will encourage vehicle owners to drive vehicles that are more environmentally friendly.

However, small business owners in particular will be affected by the proposals. An ice-cream business, established over 100 years ago, stated costs would increase by £29 000 a year for its vans to use roads in the region. It cannot afford to replace them and like many other firms risks going out of business.

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of government regulations in dealing with externalities such as air pollution in Greater Manchester.

(12)

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P 7 4 0 5 6 R A 0 2 1 2 4

21

Turn over ▶

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

15. Question 4 · part c · 12 marks · Working and answer

Working and answer

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16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 Figure 4 shows data on the number of people in the labour force in the Netherlands in December 2021.

Labour force	9,210,000
Unemployed	251,000

Figure 4

(Source: https://tradingeconomics.com/netherlands/unemployment-rate)

(a) Calculate, to two decimal places, the **rate of unemployment** in the Netherlands in December 2021. You are advised to show your working.

(2)

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16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Figure 5 shows the rate of inflation (%) for the Netherlands from January 2021 until November 2021.

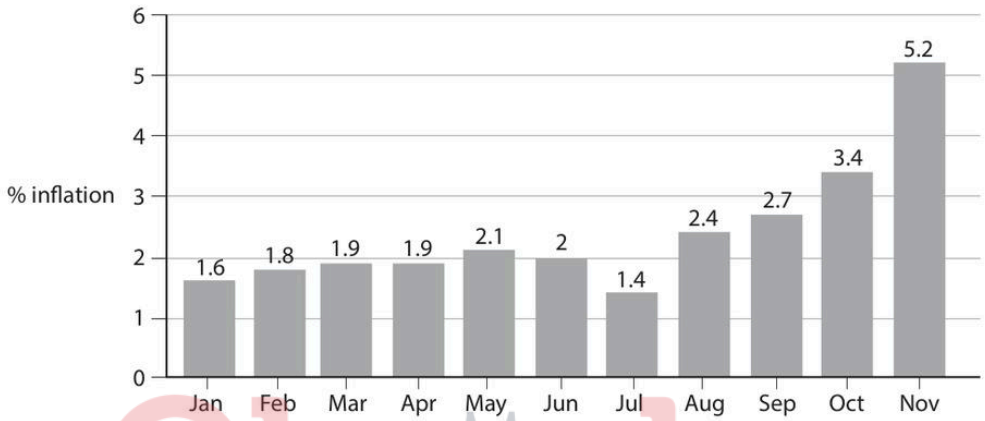

Figure 5

(Source: https://tradingeconomics.com/netherlands/inflation-cpi)

(b) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands.

(6)

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16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The Tata Steel steelworks in IJmuiden, Netherlands, will have to meet tougher rules on pollution and will have extra checks to make sure it improves the air quality around the plant. These include reducing Tata Steel's current pollution permits and will require it to change some production processes.

The government made the decision following the publication of a report which concluded that dust in the IJmuiden region contained high levels of dangerous metals such as lead. An earlier report stated that air quality in the area was poor to inadequate.

Tata Steel in the Netherlands has a total workforce of 11,000 and indirectly provides work for thousands in the local economy.

(Source: https://www.dutchnews.nl/news/2021/12/tata-steel-faces-tougher-permit-rules-and-more-pollution-checks/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands.

(12)

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P 7 4 0 5 9 R A 0 2 0 2 4

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

16. Question 4 · part c · 12 marks · Working and answer

Working and answer

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17. Question 2 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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17. Question 2 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

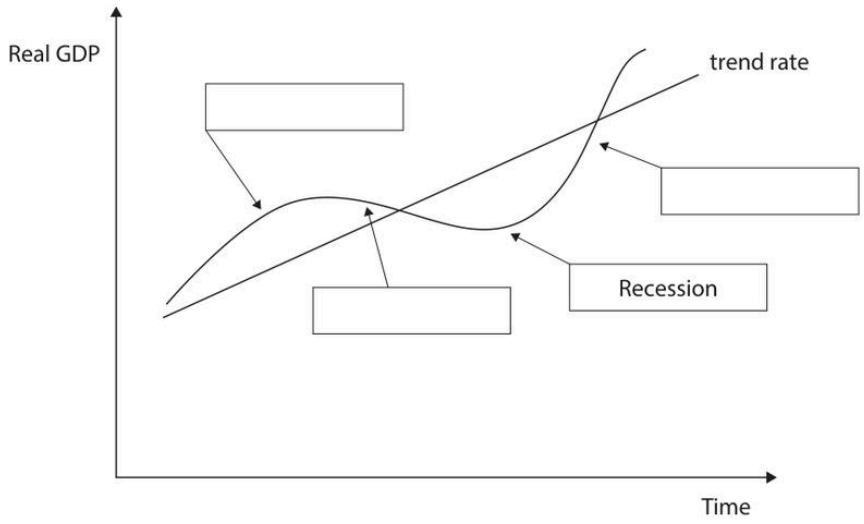

Figure 3

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17. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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P 7 5 9 5 5 A 0 2 2 8

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

OLevels.COM SCHOOL

P 7 5 9 5 5 A 0 3 2 8

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

In August 2024, India removed a tariff on imports of tomatoes from Nepal.

(f) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

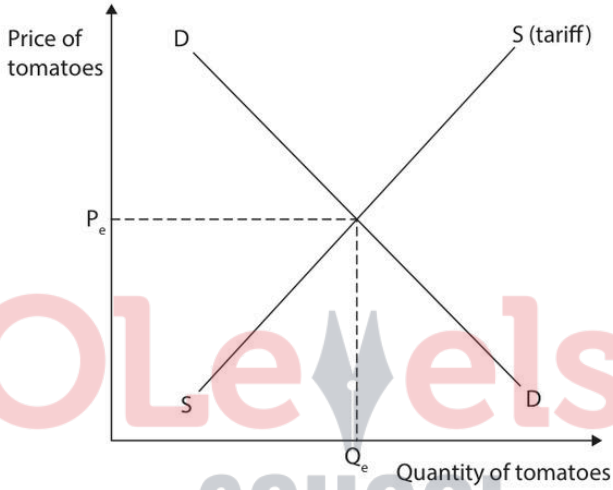

Figure 2

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18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

In Singapore, the government fined a construction company $1m for breaking safety laws that led to the death of a worker. The company had failed to provide adequate safety equipment and training for its workers.

(g) Explain **one** reason why governments use fines.

(3)

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18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

Annual inflation in Türkiye was 73.5% in May 2023, the highest rate since 1998.
This was mainly caused by an annual increase of 152.7% in energy prices.

(h) With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye.

(6)

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18. Question 1 · part g · 3 marks · Working and answer

Working and answer

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19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

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In March 2023, as part of its supply-side policy, the Italian Government announced business taxes would be reduced from 27% to 24% in January 2024.

(c) Explain the likely impact on productivity of this change in business taxes for a country such as Italy.

(3)

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19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

The Clean Air Act (CAA) is an important regulation that sets standards for air quality in the US. The CAA regulates emissions from cars, trucks and buses.

(d) With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US.

(6)

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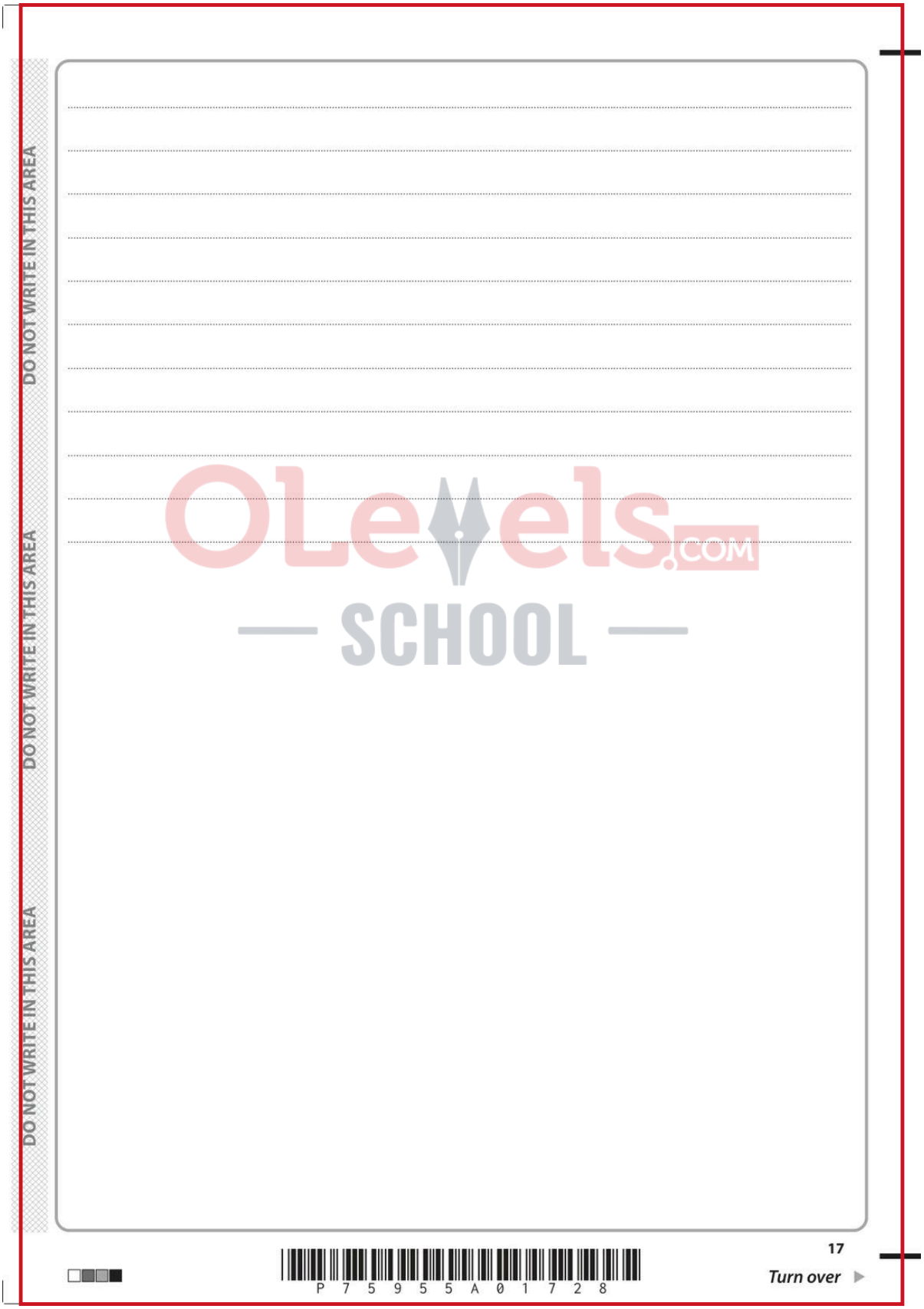
19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.



19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

Australia has a progressive income tax system. Individuals are allowed to earn $18 200 before paying any tax. The rate of tax payable increases as income gets higher.
In recent years, income tax has been the fastest growing source of government revenue in Australia.

Australian Government revenue 2022–2023

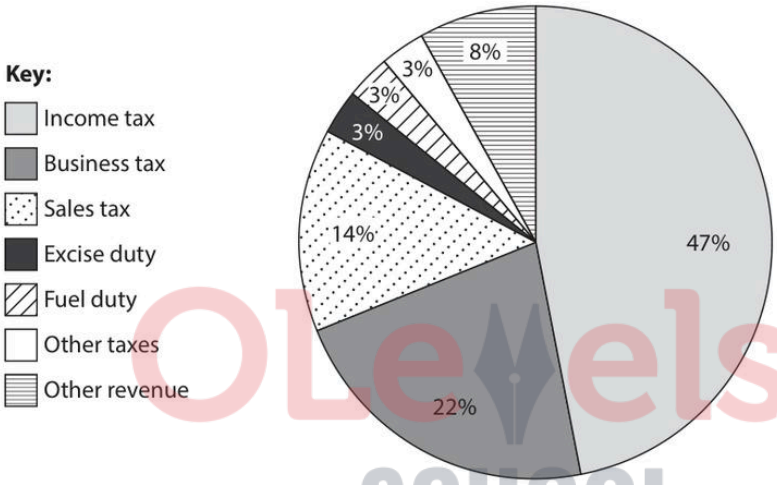


Figure 4

(e) With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia.

(9)

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19. Question 3 · part d · 6 marks · Working and answer

Working and answer

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20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 3 shows selected financial data of a firm producing calculators.

	$ per calculator
Selling price	$12.50
Raw materials	$3.25
Labour	$4.58

Figure 3

(c) Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working.

(2)

(d) What is meant by the term patent?

(2)

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20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(e) Describe **one** advantage to a firm of being privatised.

(2)

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Many cities in the US have increased the number of traffic-light cameras in order to catch motorists if they drive through a red (stop) light.

(f) Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light.

(3)

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20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Many car manufacturers use division of labour during the production of vehicles. Employees are each given different tasks, such as welding, painting, inspection and testing.

(g) With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour.

(9)

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20. Question 2 · part f · 3 marks · Working and answer

Working and answer

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21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In January 2024, China introduced a 6% tariff on coal from Russia, South Africa, Mongolia and the US.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

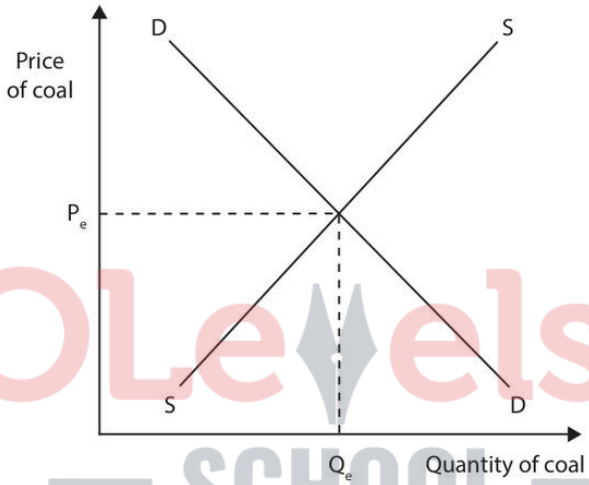

Figure 1

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21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The UK Government allocates pollution permits to airlines such as easyJet and British Airways as part of its environmental strategy. The government reduces the total number of allocated pollution permits every year.

(g) Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK.

(3)

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21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

India was the fastest growing economy in the G20 group of nations with rapid economic growth of 7.2% in 2023. India's gross domestic product (GDP) growth rate in 2024 was forecast to be 6.9%.

(h) With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India.

(6)

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21. Question 1 · part g · 3 marks · Working and answer

Working and answer

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22. Question 3 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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22. Question 3 · part a · 1 mark · Working and answer

Working and answer

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23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

4 Figure 5 shows the number of single-use plastic bags sold by the main retailers in the UK in 2021 and 2023.

Year	Number sold
2021	197 million
2023	133 million

Figure 5

(a) Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working.

(2)

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23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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From food to clothes, supply chains have harmful impacts on the environment. In 2023, the supply of consumer goods and services was the largest single contributor to UK emissions at 26% of the annual total; the UK energy sector was second highest at 17%.

(b) With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK.

(6)

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23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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In October 2023, the UK Government introduced more regulations to tackle the problem of litter and to protect the environment from a range of single-use plastic items.

No firm in the food industry will now be able to sell single-use plastic cutlery, polystyrene cups, plastic plates and food containers in England.

Research shows people across England use 2.7 billion items of mostly plastic single-use cutlery and 721 million single-use plates every year, but only 10% of these are recycled.

Plastic pollution takes hundreds of years to break down and causes serious damage to oceans, rivers and land. It is a source of greenhouse gas emissions, from its production and manufacture to the way it is disposed of.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK.

(12)

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23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

23. Question 4 · part c · 12 marks · Working and answer

Working and answer

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